Regional Marketplace Ops

19 Mar 2025

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Topics for discussion

Updates

1. **Performance Updates -** UX (Feb'25) and Cost (Jan'25)
2. **PMO** - Ops FTE Performance KPIs

Functional Topics

3. **Cost**
   a. BPO Consolidation - Updates on Operating model, Project status and Product Agents
   b. Shop CS - Agent Sourcing, Efficiency, and Performance Management

4. **Risk**
   a. Fraud - Updates on Fraud escalations process and Strategy fast roll out

5. **User Experience**
   a. Seller Ops - Fake Review Update

6. **Product**
   a. ROI Process Update
   b. BPO Consolidation Product Update

1. **Performance Updates -** UX (Feb’25) and Cost (Jan’25)

Feb'25 | Market View shows gaps in RR Wrong Judgement in ID, RR E2E in VN, Counterfeit rate in TH/TW/VN, Fraud Loss in 5 out of 8 markets, APT in VN

Legend: Meet Target (>= Target) | Almost Meet Target (80% of Target) | Not Meet Target (<= 80% of Target)

Sr #	Key Pillar	Metric	SG	MY	TH	TW	ID	VN	PH	BR	SEA+TW+BR
		Market Health	Healthy	Healthy	Moderate	Moderate	Healthy	Unhealthy	Healthy	Healthy	Moderate
1	Better CS Experience	CS Overall CSAT	64.8%	64.8%	65.9%	70.3%	73.2%	73.5%	66.4%	64.7%	70.0%
2	Timely CS Experience	CS Overall E2E Resolution Time	0.26	0.15	0.16	0.13	0.15	0.09	0.20	0.10	0.14
3		% of case resolved in 24 hours	92.6%	94.9%	95.5%	96.2%	95.3%	97.0%	93.4%	97.2%	95.7%
4	Good quality RR	RR Buyer CSAT	86.1%	89.0%	92.9%	93.6%	92.3%	85.0%	87.7%	82.4%	88.5%
5		% of agent wrong judgment	0.52%	0.31%	0.79%	0.39%	0.49%	0.04%	0.03%	0.13%	0.36%
6	Timely RR	E2E RR resolution time	1.29	1.44	1.40	1.98	1.67	2.27	1.00	4.23	2.37
7		% Cases resolved within 72 hrs of pickup	95.0%	92.9%	87.9%	88.0%	92.1%	88.7%	94.5%	89.1%	90.1%
8	Build Trust	Counterfeit rate for deceptive / High risk category counterfeit	0.61%	1.04%	1.28%	0.25%	2.55%	2.34%	0.61%	0.44%	1.46%
9		Daily fraud loss	1,436	1,089	8,859	3,721	77,938	5,873	1,915	41,574	142,405
10	Faster Delivery	Average seller preparation time	0.90	0.87	0.81	1.22	0.70	0.75	0.78	1.18	0.82
11		% same day ship out	87.5%	89.0%	79.9%	72.6%	90.7%	89.8%	83.8%	83.3%	86.9%

1. **% of agent wrong judgement in red for ID** due to wrong judgements committed by ID new agents (more new agents to handle Ramadan RR volume). To monitor ID wrong judgement as performance expected to stabilize and new agent hiring reduces post Ramadan
2. **E2E RR resolution time in red for VN** mainly due to VN pausing buyer shipment + seller respond cronjobs over the CNY period, giving buyers a longer time to arrange shipment + ship the item out as well as giving sellers a longer time to respond after receiving the item. To monitor performance next month.
3. **Counterfeit rate did not meet targets in TH, TW, VN due to** Pending product onboarding of model to help with detection (ETA 20th Mar), as a workaround to improve Regional Ops is conducting an offline cleanup with markets.
4. **Daily Fraud Loss did not meet targets in 5 of 8 markets:** TH, TW, ID due to promo fraud losses, expecting to improve in Mar; system improvement in TH, repeated abusers defences in TW (ETA mid Mar), escrow and order pending lived on 28 Feb in ID. SG due to RR fraud where to CB seller exploit seller own fleet non-integrated shipping but did not ship out, MY RR loss no fraud found and will recover over time
5. **APT missed targets in VN** due to VN still recovering from Tet

[Backup] Feb'25 | Metrics that have gaps include RR WJ due to new agents, RR E2E due to CNY impact, Counterfeit rate pending detection model, Fraud Loss due to promo loss in ID

SEA+TW+BR			Actuals	Actuals	Target	Variance	Variance
Sr #	**Key Pillar**	**Metric**	**Jan-25**	**Feb-25**	**Feb-25**	**M/M**	**Gap to Target**
1	Better CS Experience	CS Overall CSAT	69.5%	70.0%	68.6%	▲ 0.5%	▲ 1.4%
2	Timely CS Experience	CS Overall E2E Resolution Time	0.15	0.14	0.18	▼ -0.02	▼ -0.04
3		% of case resolved in 24 hours	95.1%	95.7%	94.0%	▲ 0.6%	▲ 1.7%
4	Good quality RR	RR Buyer CSAT	87.8%	88.5%	86.2%	▲ 0.7%	▲ 2.3%
5		% of agent wrong judgment	0.34%	0.36%	0.34%	▲ 0.01%	▲ 0.02%
6	Timely RR	E2E RR resolution time	2.13	2.37	2.10	▲ 0.24	▲ 0.27
7		% Cases resolved within 72 hrs of pickup	90.3%	90.1%	89.7%	▼ -0.2%	▲ 0.4%
8	Build Trust	Counterfeit rate for deceptive / High risk category counterfeit	1.54%	1.46%	1.40%	▼ -0.08%	▲ 0.06%
9		Daily fraud loss	97,223	142,405	72,116	▲ 45,182	▲ 70,289
10	Faster Delivery	Average seller preparation time	0.90	0.82	0.83	▼ -0.08	▼ -0.01
11		% same day ship out	82.3%	86.9%	85.2%	▲ 4.5%	▲ 1.7%

1 **Good Quality RR (% agent wrong judgment) -** Feb performance impacted by 1) wrong judgements committed by ID new agents (more new agents to handle Ramadan RR volume) - to monitor ID wrong judgement as performance expected to stabilize and new agent hiring reduces post Ramadan
Timely RR (RR E2E) - Feb performance impacted by 1) markets pausing seller respond + buyer to arrange/ship over CNY period TW/VN, 2) BR rolling out a new SOP for non-receipt RRs (which reduces the # of system cancelled non-receipt RRs), 3) lower than projected ITRR volumes in MY. Reg RR will revise E2E targets for MY from Mar'25 to account for the lower ITRR volume

2 **Build Trust**

- **Counterfeit rate -** Did not meet target due to pending product onboarding of model to help with detection (ETA 20th Mar); As a workaround to improve Listings is conducting an offline cleanup with markets; **expected to meet target by end Mar improve from** 1.48% to 0.84%
- **Daily Fraud Loss -** Did not meet target mainly due to high ID high promo loss from buyer seller colluding to fraud high cap vouchers, escrow pending logic to pend fraud seller's escrow lived on 28 Feb, OKR is **expected to improve by end Mar**

*Dec-25 targets subject to change

Overall Cost/GMV was 2.35% below target while Cost/1k was over target by 1.25%; Cost targets were missed in BR, PH, ID

	Cost (Million USD$)					Cost/1K Orders (USD$)					Cost/GMV (%)				
Market	**Nov'24**	**Dec'24**	**Jan'25 (E)**	**Jan'25 (Target)**	**Gap to Target**	**Nov'24**	**Dec'24**	**Jan'25 (E)**	**Jan'25 (Target)**	**Gap to Target**	**Nov'24**	**Dec'24**	**Jan'25 (E)**	**Jan'25 (Target)**	**Gap to Target**
SG	0.819	0.84	0.84	0.88	-4.18%	76.0	78.0	83.3	89.1	-6.54%	0.287%	0.323%	0.367%	0.383%	-4.19%
MY	2.574	2.61	2.44	2.82	-13.38%	45.4	44.6	43.9	47.8	-8.15%	0.330%	0.331%	0.319%	0.364%	-12.19%
TH	1.623	1.80	1.74	1.83	-4.78%	17.9	18.7	18.5	19.4	-4.75%	0.147%	0.154%	0.150%	0.160%	-5.92%
TW	2.567	2.57	2.62	2.87	-8.90%	59.7	59.9	68.5	76.2	-10.08%	0.248%	0.260%	0.294%	0.317%	-7.19%
ID	7.493	8.35	9.74	9.30	4.69%	20.1	20.6	26.5	24.2	9.36%	0.271%	0.276%	0.334%	0.329%	1.30%
VN	4.307	4.60	4.73	4.94	-4.27%	34.7	32.2	35.6	37.5	-4.95%	0.421%	0.406%	0.438%	0.473%	-7.27%
PH	4.145	4.16	4.31	4.25	1.40%	34.7	30.0	33.8	32.4	4.20%	0.477%	0.411%	0.479%	0.487%	-1.59%
SEA TW	**23.528**	**24.93**	**26.43**	**26.90**	-1.76%	**28.8**	**27.9**	**32.0**	**31.7**	0.82%	**0.299%**	**0.298%**	**0.333%**	**0.345%**	-3.51%
BR	10.323	11.34	11.14	11.06	0.73%	86.9	105.4	98.9	98.1	0.76%	0.739%	0.959%	0.920%	0.899%	2.36%
All	**33.85**	**36.27**	**37.57**	**37.96**	-1.03%	**36.1**	**36.2**	**40.0**	**39.5**	1.25%	**0.366%**	**0.379%**	**0.410%**	**0.420%**	-2.35%

1. **ID missed overall cost and cost efficiency metrics**, mainly driven by:
   - RTS - 1) Higher RTS rate than projected (2.33% vs 1.88%) due to high backlog volume in Dec'24; 2) Higher RTS volume due to loss pushing to RTS
   - Product Compensation - Higher RR Rate than originally projected (0.92% vs 0.82%) due to lower impact of downplaying COM initiative
2. **PH missed Cost/1k order** primarily driven by
   - Forward Shipping fee - Lower RRIT volume after UX change leading to lower cost passing (Lower negative cost)
   - RR Negative Seller Escrow - New buyer seller collusion fraud MO; buyers tapping order received before receiving and sellers immediately withdrawing the escrow.
3. **BR missed cost/GMV** mainly driven by:
   - RR Product compensation - Higher than projected seller dispute rate (5% vs 6.6%); lower dispute rate in Dec'24 (due to holiday season) was used to project into January
   - Messaging costs - 1) Higher WhatsApp unit costs driven by different classification of messages by Meta; 2) Higher than projected message volume driven by local projects - seller BD initiatives and Pix reminder initiatives

Note:
1) NFTE headcount numbers are estimated as BPO invoices are not finalized
2) Adjustments made to Cost and Headcount to account for process inaccuracies

Overall, headcount has been on a decreasing trend since Nov'24; Jan'25 actual headcount ~6% lower than targets

Market	Nov'24	Dec'24	Jan'25 (E)	Jan'25 (Target)	MoM Variance (Dec'24 to Jan'25)	Gap to Target	Dec'25 (Target)	Headcount Growth (Dec'24 to Dec'25)	ADO Growth (Dec'24 to Dec'25)
SG	430	406	414	446	1.97%	-7.17%	386	-4.93%	15.53%
MY	1,156	1,148	1,082	1,175	-5.75%	-7.91%	1,000	-12.89%	14.75%
TH	841	810	828	897	2.22%	-7.69%	867	7.04%	12.30%
TW	735	703	684	789	-2.70%	-13.31%	761	8.25%	9.34%
ID	5,398	5,186	4,936	5,196	-4.82%	-5.00%	4,900	-5.51%	16.01%
VN	1,288	1,297	1,242	1,479	-4.24%	-16.02%	1,286	-0.85%	26.14%
PH	1,491	1,474	1,434	1,471	-2.71%	-2.52%	1,370	-7.06%	19.14%
SEA TW	**11,339**	**11,024**	**10,620**	**11,453**	**-3.66%**	**-7.27%**	**10,570**	**-4.12%**	**16.32%**
BR	1,957	2,152	1,973	1,989	-8.32%	-0.79%	2,264	5.20%	39.40%
All	**13,296**	**13,176**	**12,593**	**13,442**	**-4.42%**	**-6.31%**	**12,834**	**-2.60%**	**19.17%**

1. **Overall headcount targets were met;** headcount decreased 4% MoM and was 6.3% below target for Jan'25
2. **Head count in TH, TW and BR are expected to increase:**
   - **TH**: increase in RR headcount due discontinuation of automation of RR seller dispute cases; Listings QC agents due to increased number of video/livestreams and loger content per session
   - **TW**: Current Dec'25 HC target based on estimated Dec'24 HC (projected in Nov'24). However, actual Dec'24 was much lower than previously projected as a) 30% lower incoming chat volume than projected b) 24x7 chat not executed due to change in direction. Dec'25 target to be revised down based on actual Dec'24 HC in next cycle
   - **BR:** Increase in CS headcount, largely in line with aggressive ADO growth
3. **Additional Headcount (and associated costs) for ~1.2k data labeling agents** under product to be included. MP Ops will help to drive efficiencies and monitor the headcount

Note:
1) NOTE headcount numbers are estimated as BPO invoices are not finalized
2) Adjustments made to Cost and Headcount to account for process inaccuracies

Cost/GMV expected to decrease 22% Y/Y against Dec'25 targets; VN projected to have negative Cost/GMV due to cost passing

				Targets				
Cost/GMV %	**Nov'24**	**Dec'24**	**Jan'25 (E)**	**Q1'25**	**Q2'25**	**Q3'25**	**Q4'25**	**Variance** Dec-24 vs Q4'25
SG	0.288%	0.323%	0.367%	0.337%	0.339%	0.290%	0.244%	-24.38%
MY	0.330%	0.331%	0.319%	0.333%	0.314%	0.293%	0.272%	-17.62%
TH	0.147%	0.154%	0.150%	0.162%	0.152%	0.141%	0.133%	-13.61%
TW	0.242%	0.260%	0.294%	0.302%	0.295%	0.279%	0.254%	-2.09%
ID	0.266%	0.276%	0.334%	0.348%	0.290%	0.275%	0.265%	-4.17%
VN	0.421%	0.406%	0.438%	0.475%	-0.156%	-0.142%	-0.151%	-137.28%
PH	0.477%	0.411%	0.479%	0.426%	0.386%	0.376%	0.307%	-25.32%
SEA TW	**0.297%**	**0.298%**	**0.333%**	**0.340%**	**0.226%**	**0.213%**	**0.190%**	**-36.11%**
BR	0.739%	0.959%	0.920%	0.894%	0.869%	0.822%	0.876%	-8.73%
SEA TW BR	**0.364%**	**0.379%**	**0.410%**	**0.415%**	**0.324%**	**0.311%**	**0.296%**	**-22.12%**

1. **Cost/GMV expected to drop** by -22.1% from Dec'24 to Dec'25, with improvements in cost efficiency across all markets
2. **VN Q1 to Q2 Cost/GMV targets decrease** driven by **RTS** cost passing, and **RR FSF** COM and ITRR cost passing that is planned to start in Apr
   - **VN expected to have negative costs** due to **RR FSF** (US$2.8M) and **RTS** (US$2.5M); Cost passing projected to generate negative costs, offsetting all other costs
3. **Significant drop in Cost / GMV expected from Q1 to Q2 mainly driven by a reduction in RTS:**
   - **ID:** 1) Higher RTS rate is Mar'25 due to Ramadan (2.16% vs 1.88% in Feb); 2) SPX Initiatives *(Delivery Window and Proof on hold Validation)* expected to reduce RTS rate further to 1.74% by Q2
   - **PH:** Reduction in RTS rates (2.81% to 2.51%) due to SPX initiatives (*Delivery window, Block invalid RTS* and *Proof on hold validation)*

Note:
1) NFTE headcount numbers are estimated as BPO invoices are not finalized
2) Adjustments made to Cost and Headcount to account for process inaccuracies

[Backup] Some cost categories missed Jan-25 targets; RTS, Product Compensation, and Negative seller escrow

	Cost (Million USD$)					Cost/1K Orders (USD$)					Cost/GMV (%)				
	Nov'24	Dec'24	Jan'25 (E)	Jan'25 (Target)	Gap to Target	Nov'24	Dec'24	Jan'25 (E)	Jan'25 (Target)	Gap to Target	Nov'24	Dec'24	Jan'25 (E)	Jan'25 (Target)	Gap to Target
Staff costs	**10.96**	**11.09**	**11.15**	**11.89**	**-6.23%**	**11.6**	**11.06**	**11.87**	**12.38**	**-4.07%**	**0.117%**	**0.116%**	**0.122%**	**0.132%**	**-7.48%**
RTS	11.34	12.31	13.09	12.85	1.92%	12.11	12.27	13.95	13.38	4.28%	0.123%	0.129%	0.143%	0.142%	0.57%
Product comp	2.45	3.04	3.17	2.84	11.55%	2.62	3.03	3.38	2.96	14.13%	0.026%	0.032%	0.035%	0.031%	10.07%
RR Forward Shipping	1.71	2.40	1.83	1.95	-5.91%	1.81	2.39	1.95	2.03	-3.74%	0.018%	0.025%	0.020%	0.022%	-7.16%
RR Reverse Shipping	4.53	4.43	4.46	4.55	-1.81%	4.83	4.42	4.76	4.73	0.46%	0.049%	0.046%	0.049%	0.050%	-3.11%
Chargeback	0.96	1.12	0.86	1.03	-16.60%	1.02	1.11	0.92	1.08	-14.67%	0.010%	0.012%	0.009%	0.011%	-17.71%
Messaging	1.37	1.21	2.08	2.18	-4.51%	1.46	1.21	2.22	2.27	-2.31%	0.015%	0.013%	0.023%	0.024%	-5.79%
Other non-staff costs	0.53	0.68	0.91	0.67	35.74%	0.57	0.68	0.97	0.70	38.87%	0.006%	0.007%	0.010%	0.007%	33.93%
Total non-staff	**22.89**	**25.18**	**26.42**	**26.07**	**1.34%**	**24.42**	**25.11**	**28.14**	**27.14**	**3.68%**	**0.247%**	**0.263%**	**0.289%**	**0.289%**	**-0.01%**
Total Costs to Serve	**33.85**	**36.27**	**37.57**	**37.96**	**-1.03%**	**36.02**	**36.17**	**40.01**	**39.52**	**1.25%**	**0.364%**	**0.379%**	**0.410%**	**0.420%**	**-2.35%**

1. **RTS missed targets** in 1) **ID** due to high backlog volume and loss push to RTS, 2) **VN** due to higher RTS rate due to the holiday season as customers travel
2. **Product compensation** missed targets in 1) **ID** - Higher than expected RR rates due to lower impact of downplaying COM initiative, 2) **BR** - Higher than projected seller dispute rate due; lower dispute rate in Dec'24 (due to holiday season) was used to project into January
3. **RR negative seller escrow missed targets** mainly due to fraud incidents in 1) **TW - JP CB** RRAOC fraud incident, 2) **PH** - 2 fraud incidents, 3) **TH** - 2 fraud incidents, 4) **SG** - 2 fraud incidents

Note:
1) NFTE headcount numbers are estimated as BPO invoices are not finalized
2) Adjustments made to Cost and Headcount to account for process inaccuracies

[Backup] By function, most costs are expected to decrease especially driven by RTS and FSF; Messaging costs and RSF costs are expected to increase

Cost/GMV %	Nov'24	Dec'24	Jan'25 (E)	Targets				Variance Dec-24 vs Q4'25
				Q1'25	Q2'25	Q3'25	Q4'25	
Staff Cost	**0.117%**	**0.116%**	**0.122%**	**0.125%**	**0.125%**	**0.116%**	**0.104%**	**-10.00%**
RTS	0.123%	0.129%	0.143%	0.145%	0.078%	0.075%	0.071%	1 -44.89%
Product Comp	0.026%	0.032%	0.035%	0.032%	0.028%	0.028%	0.030%	-6.30%
Forward Shipping Fees	0.018%	0.025%	0.020%	0.022%	0.002%	0.004%	0.005%	1 -81.75%
Reverse Shipping Fees	0.048%	0.046%	0.049%	0.052%	0.052%	0.051%	0.053%	2 14.09%
Chargeback	0.009%	0.012%	0.009%	0.011%	0.013%	0.012%	0.010%	-15.03%
Messaging	0.015%	0.013%	0.023%	0.020%	0.020%	0.018%	0.016%	3 29.83%
Other non-staff costs	0.007%	0.007%	0.010%	0.007%	0.007%	0.006%	0.007%	-8.45%
Non-Staff Cost	**0.247%**	**0.263%**	**0.289%**	**0.289%**	**0.199%**	**0.194%**	**0.191%**	**-27.46%**
Total Costs to Serve	**0.364%**	**0.379%**	**0.410%**	**0.415%**	**0.324%**	**0.311%**	**0.296%**	**-22.12%**

1. **RTS and RR FSF expected to decrease drastically** due to aggressive expected growth in cost passing in VN
2. **Increase in RR RSF is mainly driven by BR** (TBC on rationale for growth)
3. **Messaging costs expected to increase from Dec'24** due to WA unit cost revision; However, costs are expected to drop throughout 2025, from Jan'25

Note:
1) NFTE headcount numbers are estimated as BPO invoices are not finalized
2) Adjustments made to Cost and Headcount to account for process inaccuracies

[Backup] Moving forward, Regional and Local teams should work more closely to define more rigid cost targets with greater visibility into drivers

Currently, there is no **strong adherence to cost targets as targets as revised monthly**. At a regional level, there is also a **poor visibility into the core cost drivers**. This makes is difficult for regional to **identify the root causes** of deviations from cost targets and **develop mitigation strategies**

Reg PMO will work closely with Local Markets to:

1. Develop a process for vetting and approving target revisions to maintain greater adherence to targets set
2. Develop a more formal process for submitting and reviewing actuals and projections along with HODs
3. Develop more granular and timely cost reporting for greater visibility and accountability into cost
4. Develop more accurate tracking of initiatives (initiative tracker) with a view on planned and realised impact

2. PMO - Ops FTE Performance KPIs

Executive Summary

Context:

As of Jan'25, coverage of Ops FTE HC with KPI tracked is **low at 34% across 8 markets (further breakdown shows FL FTE has 50% coverage, while NFL FTE only has 13% coverage)**. This affects our organization's ability to **drive alignment of efforts & manage productivity across levels effectively**

Objectives:

1. Set **Ops-related KPIs for individual team members** in short term & mid term, serving as foundation for performance management and improvement :
   a. ST Q2'25 - **78% FTE** HC regionally **(~100% for FL and 54% for NFL)**
   b. MT Q3'25 - **92% FTE** HC regionally **(~100% for FL and 83% for NFL)**
2. Support reporting managers to align goals/efforts transparently while identify issues to improve team performance
3. Provide employees with a sense of purpose by assigning KPIs and targets aligned with goals of different roles

Approach (Feb'25 - Apr'25):

1. Reg Ops & Reg OD **co-create Reg guidelines** with recommended KPIs by role ID for local markets to deploy
2. **Local** Business Team Leads **set individual KPIs** based on regional guidelines, **aligning KPI targets** with department's **OKR targets** where applicable, otherwise targets to be defined based on **local business management requirements**
3. Local business teams **track individual KPIs** as BAU and **submit team level KPI summary** to regional teams on monthly basis - template to be provided by regional teams

Context | Current Ops FTE HC with KPI coverage is low at 34%; further breakdown shows FL FTE has 50% coverage, while NFL FTE only has 13% coverage

KPI % for FTE (FL vs NFL) - Jan'25

Focus Today

	FTE HC									NFTE HC								
Markets	SG	MY	TH	TW	ID	VN	PH	BR	All	SG	MY	TH	TW	ID	VN	PH	BR	All
# Total HC	137	323	417	502	2,092	374	385	479	**4,709**	279	756	411	180	2,844	1,005	1,047	1,676	8,198
% with KPIs (Total HC)	7%	19%	36%	60%	43%	10%	35%	4%	**34%**	75%	87%	97%	63%	96%	89%	99%	94%	93%
# Total FL	14	106	240	311	1493	65	133	152	**2,514**	278	752	398	172	2844	984	1047	1663	8,138
% with KPIs (FL)	21%	34%	55%	90%	56%	0%	39%	0%	**53%**	76%	87%	97%	66%	96%	90%	99%	94%	93%
# Total NFL	123	217	177	191	599	309	252	327	**2,195**	1	4	13	8	0	21	0	13	60
% with KPIs (NFL)	5%	12%	11%	12%	13%	12%	32%	6%	**13%**	0%	100%	85%	13%	0%	38%	0%	92%	60%

Deep Dive:

1. **HC Type Breakdown:** Current coverage of FTE HC with Ops-related KPIs is low at 34% across SEA+TW+BR, compared to NFTE with Ops-related KPIs at 93% in BPOs
- **Further Breakdown by FL vs NFL**:
  - 2 FL FTE has 50% KPI coverage, although all should have KPIs tracked due to repetitive nature of job scope
  - 3 NFL FTE has only 13% KPI coverage, especially SG (5%) and BR (6%)

Implication:

- Since FTEs are employed under Shopee directly, this affects our **ability to drive alignment of efforts (between individuals and organisation) & manage productivity across levels effectively due to lack of clear performance KPI tracking**

Propose | Reg Ops & OD are working to increase FTE coverage to 78% in short-term (Q2) and to 92% in mid-term (Q3) by assigning Ops KPIs to FL and NFL roles across markets

Categories	Example of Roles	% Total HC
A Roles that already have KPIs tracked	1. CS L1 Agents (FL) 2. CS L1 Premium Agents (FL) 3. RR L1 DMS Agents (FL) 4. RR L3 Agents (FL) 5. Fraud Appeals & Escalation (NFL)	72%
B FL roles that are newly converted	1. Payment/Logistics L3 Agents (Newly FL) 2. Fraud Seller KYC Agents (Newly FL) 3. Payments Reconciliation Agent/ Tax, Invoice (FL) 4. CS/RR/Listing FL Team Lead (FL)	14%
C NFL roles that can easily attribute KPIs to	1. Function Leads/ Sub-Leads (NFL) 2. CS/RR Escalation Agents (NFL) 3. Function Specific: Chatbot Mgmt, Listing Policy Review, Payments DP Reconciliation, Network Strategy (NFL)	6%
D NFL roles that are harder to attribute KPIs to	1. Knowledge Management 2. Training & Control 3. BPO/Vendor Management 4. Workforce Management 5. Analytics	5%
	1. Projects	3%

% Total FTE HC

Current	Propose ST (Q2)	Propose MT (Q3)
34%	78%	92%
Propose to Add in Q2: 27%		
Propose to Add in Q2: 17%		
Propose to Add in Q3: 14%		
Don't Add: 8%		

To-Be KPI Coverage in ST (Q2'25) | By including roles within Category B & C, FTE coverage will increase to 78%; FL ~100%, NFL increase to 54%

To-Be KPI % for FTE (FL vs NFL) in Q2'25

	To-Be FTE with KPIs								
Markets	SG	MY	TH	TW	ID	VN	PH	BR	All
# Total HC	137	323	417	502	2,092	374	385	479	4,709
% with KPIs (Total HC)	65%	68%	81%	89%	88%	61%	71%	54%	78%
# Total FL	14	106	240	311	1493	65	133	152	2,514
% with KPIs (FL)	100%	100%	99%	100%	100%	97%	96%	100%	100%
# Total NFL	123	217	177	191	599	309	252	327	2,195
% with KPIs (NFL)	61%	52%	56%	71%	57%	53%	58%	32%	54%

Insights:

1. By including roles in Category B & C, **we can see increase FTE coverage to 78% (uplift of 44%) across 8 markets**
2. **FL coverage will be close to 100% due to Category B** - includes newly converted FL roles (the only FL FTE role that is hard to have KPI tracked is CS Admin Agents because tasks are ad-hoc; 3 HC in TH, 2 HC in VN, 5 HC in PH hence these markets not 100%)
3. **NFL coverage will be 54% (from 13%) due to Category C** - includes NFL roles that are responsible for OKR targets (Functions Leads)

To-Be KPI Coverage in MT (Q3'25) | By including roles in Category D (except Projects), FTE coverage will increase to 92%; FL ~100%, NFL increase to 83%

To-Be KPI % for FTE (FL vs NFL) in Q3'25

	To-Be FTE with KPIs								
Markets	SG	MY	TH	TW	ID	VN	PH	BR	All
# Total HC	137	323	417	502	2,092	374	385	479	4,709
% with KPIs (Total HC)	84%	90%	89%	96%	96%	81%	91%	88%	92%
# Total FL	14	106	240	311	1,493	65	133	152	2,514
% with KPIs (FL)	100%	100%	99%	100%	100%	97%	96%	100%	100%
# Total NFL	123	217	177	191	599	309	252	327	2,195
% with KPIs (NFL)	82%	85%	75%	89%	87%	77%	86%	82%	83%

Insights:

1. By including roles in Category D except Projects, **FTE coverage increases to 92% (uplift of 58%) across 8 markets**
2. **FL FTE coverage will be close to 100% similar to ST in Q2**
3. **NFL FTE coverage will be 83% due to Category D** (vs 54% from ST) - including NFL roles (eg. KM, WFM, Trainers) except Projects

[Backup] Existing roles with KPIs tracked | 34% of Ops FTE HC have Ops-related KPIs across 8 markets, most of which are FL FTE roles in CS/RR/Listings

	# FTE with Ops-related KPIs									% of Total FTE by functions
Functions	SG	MY	TH	TW	ID	VN	PH	BR	All	**All**
CS	0	18	12	203	622	0	0	0	855	18%
RR	0	0	77	18	74	0	11	0	180	4%
Listings	3	18	44	59	135	0	41	0	300	6%
Fraud	6	21	16	10	79	25	36	18	211	4%
Seller Ops	0	5	3	12	0	11	45	0	76	2%
Total # HC with KPIs by markets (b)	9	62	152	302	910	36	133	18	1,622	34%
Total FTE HC by markets (a)	137	323	417	502	2,092	374	385	479	4,709	
% of Total FTE by markets	7%	19%	36%	60%	43%	10%	35%	4%	34%	

Deep Dive:

1. Currently, most FTE roles in CS, RR, Listings have ops-related KPIs as they are frontliners - CS L1 agents, RR DMS agents, Listing QC
2. Other functions such as Seller Ops and Fraud also have FTE with KPIs, but they are non-frontliners - Fraud Online Case Review
3. Some markets have lower % of FTE HC with KPI as most of these roles are NFTE with BPOs (SG, VN, BR)

[Backup] KPI Examples | Existing roles that have Ops-related KPIs includes CS L1 Agents, RR L1 DMS & L3 Agents, Listing QC/QA Agents, Fraud Case Review

Org Structure			Examples from Functions				
FL/ NFL	Types of Roles		CS	RR	Listings	Fraud	Seller Ops
FL	Agents	L1 Agents	**CS L1 Agents** **CS L1 Premium Agents:** **Productivity -** handled cases/hour solved cases/hour **Quality -** QA score CSAT score	**RR L1 DMS Agents** **Productivity -** Total # of agent solved cases per month **Quality -** QA score CSAT score	**QC Agents:** **Productivity -** # QC/ day **Quality -** % Listing QC exceeding 24h QA score CSAT score		
FL	Agents	L2 Agents					
FL	Agents	L3 Agents		**RR L3 Agents** Same as L1 DMS	**L3 Complaints Handling -** Same as CS L1 agents		
FL	Agents	QA Agents			**QA Agents:** Productivity - total # of QA cases per month Quality - Appeal Success Rate % QA audit Accuracy %		
NFL	Non-Frontline Function Specific Roles	Non-Frontline Function Specific Roles				**Online/Offline Case Review Executive:** **Productivity -** # case reviewed **Quality -** QA score	**Key Account Management Executive:** **Quality (seller performance) -** FHR, LSR, NFR, % sellers compliance with local policy

Insights

Currently about **34% of FTE HC** have Productivity KPIs or Quality KPIs, who are mainly **FL agents that are bucketized (eg. CS, RR) or are tracked locally (eg. Listing)**, and **NFL function-specific roles in Fraud and Seller Ops**

[Backup] Newly converted FL roles | We aim to set KPIs for recently converted FL roles that yet to have KPIs tracked & NFL Supervisor, to add FTE coverage by 27%

	# FTE									% of Total FTE by functions
Functions	SG	MY	TH	TW	ID	VN	PH	BR	Total	All
CS	11	50	58	26	510	8	55	143	861	18%
RR	5	9	14	4	103	51	7	0	193	4%
Listings	0	13	11	6	31	0	2	0	63	1%
Fraud	0	0	3	6	0	0	0	13	22	0%
Payments	0	0	3	0	40	0	12	0	55	1%
Logistics	0	3	3	1	13	7	0	0	27	1%
CB-CS	0	0	6	0	13	0	0	0	19	0%
SIP-CS	3	1	12	0	0	0	0	0	16	0%
Total # HC with KPIs by markets (b)	19	76	110	43	710	66	76	156	1,256	27%
Total FTE HC by markets (a)	137	323	417	502	2,092	374	385	479	4,709	
% of Total FTE by markets	14%	24%	26%	9%	34%	18%	20%	33%	27%	

Deep Dive:

1. FL TLs (oversee a group of frontline agents, providing guidance, monitoring performance), QA Agents and L3 agents that got converted from NFL to FL in the recent role ID revamp (in Dec'24) don't have set KPIs yet; this group is a low hanging fruit for us to set KPIs and increase coverage
   - **Ongoing Projects:** Local ID CS has started bucketization of TL & QA in '24; Reg CS is planning to roll out across other markets (for IHS TL by end of Mar, for BPO TL might be Apr/May)
   - NFL Supervisor will have OKRs as KPIs to strengthen the accountability

[Backup] KPI Examples | Roles that are newly converted to FL in Dec'24 and NFL Supervisor, which can be easily tracked using their team's KPI

Org Structure			Examples from Functions					
FL/ NFL	Types of Roles		CS/ CB-CS/ SIP-CS	RR	Listings	Fraud	Payments	Logistics
FL	Agents	L1 Agents	**CS L1 Support/L2 Agents:** **Productivity -** handled cases/hour solved cases/hour **Quality -** QA score CSAT score					
FL	Agents	L2 Agents						
FL	Agents	L3 Agents					**Payments/Logs L3 Agents:** **Productivity -** handled cases/hour solved cases/hour **Quality -** QA score CSAT score	
FL	Agents	QA Agents	**CS/RR QA Agents:** **Productivity -** Total # of QA cases per month **Quality -** Appeal Success Rate % QA audit Accuracy %					
FL	Frontline Function Specific Roles	Frontline Function Specific Roles		**RR WH Agents:** **Productivity -** Total # of WH agent judge cases		**Seller KYC Agent** **Productivity -** # of KYC reviewed **Quality -** SLA Breach	**Reconciliation Agent** **Tax, Invoice and Payment Support** **Productivity -** Time to resolve **Quality -** Accuracy %	
FL	Agent Team Lead	Frontline Team Lead	**CS Frontline Team Lead/ NFL Supervisor** **Productivity -** Average agent productivity average E2E resolution time **Quality -** QA score SOPA Usage % Average agent CSAT	**RR Frontline Team Lead/ NFL Supervisor** **Productivity -** Average number of agents judge cases that are assigned to his/her team members **Quality -** Average QA score of the team members Average CSAT score of the team members	**Listing/Livestream/Video Frontline Team Lead** **Listing NFL Supervisor** **Productivity -** % Listing QC exceeding 24h # QC/ day handled cases/hour solved cases/hour **Quality -** QA score CSAT score %		**Payments Frontline Team Lead/ NFL Supervisor** **Productivity -** Task completion within SLA **Quality -** Accuracy/Error Rate On Time Payment %	**Logistics Frontline Team Lead/ NFL Supervisor** **Quality -** Delivered on First-attempt % **Productivity -** Average delivery time RTS lead time
NFL	Agent Supervisors	Supervisor						

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[Backup] NFL roles easily attribute KPIs | We also aim to set KPIs for NFL roles that currently have Dept UX & Cost OKRs; this will increase FTE coverage by 17%

	# FTE									% of Total FTE by functions
Functions	SG	MY	TH	TW	ID	VN	PH	BR	Total	All
CS	15	13	7	23	79	9	11	22	179	4%
RR	14	6	5	15	9	25	6	7	87	2%
Listings	7	12	8	15	6	8	6	21	83	2%
Fraud	2	5	2	2	16	4	4	4	39	1%
Payments	4	10	13	23	61	21	14	15	161	3%
Logistics	7	13	13	2	37	5	7	0	84	2%
Seller Ops	4	4	8	5	0	13	17	8	59	1%
Risk & Compliance	2	3	13	15	0	6	0	6	45	1%
Others	6	13	3	1	2	34	1	1	61	1%
CB-CS	0	0	1	0	2	0	0	0	3	0%
SIP-CS	0	2	1	0	0	0	0	0	3	0%
Total # HC with KPIs by markets (b)	61	81	74	101	212	125	66	84	804	17%
Total FTE HC by markets (a)	137	323	417	502	2,092	374	385	479	4,709	
% of Total FTE by markets	45%	25%	18%	20%	10%	33%	17%	18%	17%	

Deep Dive:

1. Most of these roles across all functions are TLs or sub TLs - NFL roles that can have attributable KPIs that are already being tracked or can be setup
   - Eg. Function/Sub Leads - Mgmt OKR Actual % (Cost/Order, Overall CSAT for CS, % agent wrong judgement for RR, counterfeit rate for Listing, APT for Seller Ops)

[Backup] KPI Examples | NFL roles that can have attributable KPIs that are already being tracked (e.g., Mgmt OKRs) or can be setup with ease

Org Structure			Examples from Functions							
FL/ NFL	Types of Roles		CS	RR	Listings	Fraud	Payments	Logistics	Seller Ops	R&C
NFL	Agents	Escalation Executives	**CS/RR Escalation Executives** **Productivity -** Resolved within SLA (hours)							
NFL	Function Head	Function Lead	**Mgmt OKR Actual %** (eg. Overall CSAT for CS, % agent wrong judgement for RR, counterfeit rate for Listing, APT for Seller Ops)							Final Incident Loss per 1m GMV
NFL	Sub-Leads	Sub-team Lead								
NFL	Non-Frontline Function Specific Roles	Non-Frontline Function Specific Roles	**Chatbot Executive** **Quality -** Chatbot CSAT		**Policy Review:** **Quality -** QA score **Legal/RM Relations:** **Productivity -** Resolved under SLA		**Digital Product Recon, Tax/Invoice, Adjust/Chargeback** **Productivity -** Time to resolve **Quality -** Accuracy %	**FinOps:** **Productivity -** Number of discrepancy resolved **Quality - %** solved within SLA	**Seller Communication:** **Productivity - #** seller queries answered **#** appeals reviewed **Quality -** seller CSAT	**Corp Risk/External/Internal Compliance:** **Productivity -** Resolved under SLA **Quality -** Incident Loss $
FL/ NFL	Types of Roles		Cross Functions							
NFL	Ops Head	Ops Head	**Department's OKR Actual %** (eg. Overall CSAT for CS, % agent wrong judgement for RR, counterfeit rate for Listing, APT for Seller Ops)							
NFL	CX	CX	**Quality -** NPS scores							
NFL	Procurement	Procurement	**Productivity -** PR/POs processing time count from receive request date (with approval) to payment date. **Quality -** PR/PO Cancellation rate < 5%							

[Backup] NFL roles hard to attribute KPIs | 8% of FTE HC are NFL roles that are difficult to attribute meaningful KPIs to

	# FTE									% of Total FTE by functions
Functions	SG	MY	TH	TW	ID	VN	PH	BR	Total	**All**
CS	14	28	25	16	157	30	47	63	380	3%
RR	8	16	13	11	25	23	6	0	102	1%
Listings	7	8	7	9	22	24	13	69	159	1%
Fraud	2	10	7	2	10	12	11	6	60	0%
Payments	3	3	6	0	1	5	0	1	19	0%
Logistics	4	9	7	7	41	25	19	0	112	1%
Seller Ops	2	4	8	3	0	13	5	25	60	0%
Others	6	20	4	8	2	15	9	57	121	1%
CB-CS	0	0	0	0	2	0	0	0	2	0%
SIP-CS	2	6	4	0	0	0	0	0	12	0%
Total # HC with KPIs by markets (b)	48	104	81	56	260	147	110	221	1,027	8%
Total FTE HC by markets (a)	137	323	417	502	2,092	374	385	479	4,709	
% of Total FTE by markets	35%	32%	19%	11%	12%	39%	29%	46%	22%	

Deep Dive:
These roles span across functions in CS/RR/Listings/Log, which cannot easily set up and track KPIs because they cannot directly influence or control outcome due to multiple factors

- Eg. Trainer can try to improve training of agents, but agents may drop off or may need to retrain due to external factors
- Eg. Projects and Analytics roles are more strategic in nature, and their impacts cannot be immediately seen

[Backup] KPI Examples | Roles that cannot easily attribute KPIs to includes KM, WFM, BPO/Vendor Management, Trainers, Projects, Analytics

Potential KPIs included but difficult to setup/attribute

Org Structure			Examples from Functions						
FL/ NFL	**Types of Roles**		**CS**	**RR**	**Listings**	**Fraud**	**Payments**	**Logistics**	**Seller Ops**
NFL	Training & Quality Control	Training & Quality Control	**Quality -** Average assessment score > 90% Re-training rate % Agent QA Score						
NFL	Workforce Management	Workforce Management	**P:** Utilization Rate	**P:** % of Backlog cases	**Q:** % Listing QC exceeding 24h				
NFL	BPO/Vendor Management	BPO/Vendor Management	**Cost KPIs** such as HC fulfilment (hiring rate, attrition rate), Cost per agent **Agents Productivity and Quality KPIs**					**C:** Rate Card $ **P:** Average delivery time **Q:** On-time first attempt %	
NFL	Projects & Features	Projects & Features	No KPIs						
NFL	Knowledge Management	Knowledge Management	**P:** AHT **Q:** # SOPs flagged	**Q:** % poor SOPs flagged		**Q:** % agent failed QA on QA			**Q:** % poor SOPs flagged
FL	Frontline Function Specific Roles	Frontline Function Specific Roles	CS Admin Agent - No KPIs because tasks are ad-hoc						
FL/ NFL	**Types of Roles**		**Cross Functions**						
NFL	Data Analytics	Data Analytics	No KPIs						
NFL	Project Management	Project Management							

Legend: **No KPIs**

Ops Performance KPI for FTE Timeline | Markets have provided their inputs on Reg proposed KPIs, signed off by all 8 Ops Heads; Reg PICs to finalize by 21th Mar

Main Tasks	S/N	Actions Required	Action Owner	Timeline
Local feedback & guideline finalization	1	Local HoDs review KPI guidelines (incl. general guideline, recommended KPI list by role ID, FAQs, etc.) and provide feedback	Local HoD	Until 4 Mar
	2	Reg teams incorporate feedback and send finalized guidelines for local to follow	Reg Ops	5th Mar - 21th Mar
KPI setting & communication	3	Local team leads set individual KPIs and targets for team members based on regional KPI guidelines • Refer to next page on "how to set KPIs" • Agree with team members on KPIs and targets • Share with reg biz team the summary of KPIs selected by role ID Local People team to track the progress and HC coverage	Local team leads	24th Mar - 4 April
KPI Tracking (monthly/ bi-monthly)	4	Local Biz team track individual KPI and submit teams' KPIs (actual vs target) for regional team to track and monitor on monthly/bi-monthly basis. *(Template for team level KPI summary to be provided; for those which are already tracked regionally, no need for submission)*	Local Biz team	Mid April (TBD)
	6	Local people team monitor and track individual KPI coverage by department	Local People team	End April (TBD)

At this stage

3a. Cost: BPO Consolidation

Executive Summary

1. **The project is currently on track with SG CS and Listings have gone live with RR going live in end of March.** Other teams are are beginning to pilot in Apr-May. It is important to define key operating model elements such as **org structure, ways of working and contractual arrangements** to support on ground execution

    a. We recommend that the local teams own their own performance KPIs and manage the performance of their teams on the ground. A centralized regional team, will work with ID team to deliver additional on ground support
    b. Propose to have different phases, with ID team being more hands-on at the initial stages. Reg Ops drives standardisation only at later stages
    c. Contractually, we recommend that the relevant SPE entity signs directly with ID BPO to optimise tax exposure and risk

2. **Overall, we plan to consolidate 1,334 headcount to ID, VN and PH by the end of 2026.** This will generate an estimated impact of ~$12.3M ARR.

    a. **For Shop Chat**, **we have planned to achieve a $0.35M ARR saving** by Dec'25 with an additional **~$2.3M ARR after 2026 (Covered Next)**
        i. CB SCS to pilot PH trial in May, potentially scaling up to 100 Headcount across VN and PH with **~$0.34M ARR impact by Dec 2025**
        ii. SG & MY SIP to move to ID using English agents with trial starting in Q4 2025. 93 Headcount planned to move to ID by 2026 with **~$0.31M ARR impact.** L1 CN SIP agents will remain in MY.
        iii. Rest of countries' local SIP will relocate to ID while CN SIP stay with local countries, estimating **~$0.45M ARR impact**, from 2026
        iv. Local SCS and SBS will relocate to ID from 2026 onwards as well, with **~$1.5M ARR impact**

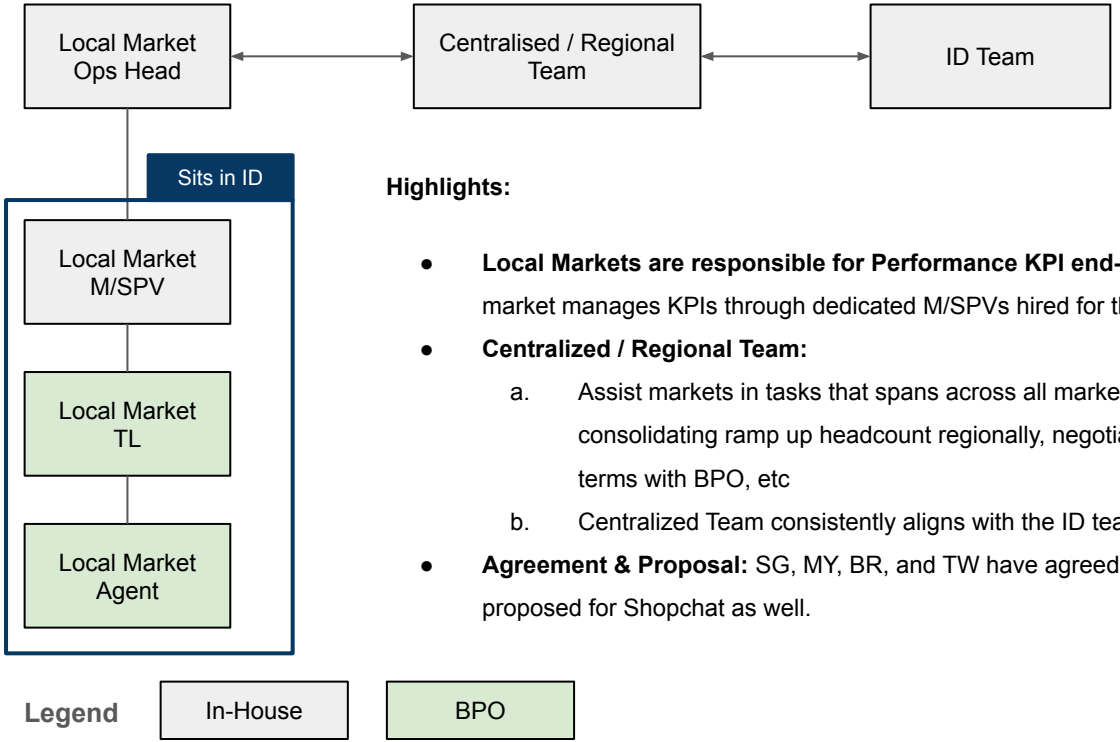
    b. **For listing and content agents**, we propose a faster pilot phase (1-2 months earlier than planned) as **we do not require a translation tool**
        i. Feasibility study conducted for BR-ID Video Labelling and MY-ID Listing QC indicates that QA score (Adj for language issues only) meets the minimum required threshold
        ii. Aligning SOPs and review steps, and familiarising agents with policy requirements can further boost quality and productivity of agents

3. **Additionally, we currently have ~1.2k data labelling agents managed under product (Not included in current plans).** We propose to help manage these headcount to drive efficiencies which includes BPO consolidation, potential unlocking an additional ~$4.8M ARR

Operating Model - Org Structure, Ways of Working and Contractual Terms

Org Structure | Local Team is the owner of Performance KPIs. Regional Team and ID Team to support movement.

Proposed arrangement for in ID



Highlights:

- **Local Markets are responsible for Performance KPI end-to-end:** Each market manages KPIs through dedicated M/SPVs hired for their market.
- **Centralized / Regional Team:**
  a. Assist markets in tasks that spans across all markets, such as consolidating ramp up headcount regionally, negotiating commercial terms with BPO, etc
  b. Centralized Team consistently aligns with the ID team for all tasks.
- **Agreement & Proposal:** SG, MY, BR, and TW have agreed to this approach; proposed for Shopchat as well.

Ways of Working | Propose to have different phases, with ID team being more hands-on at the initial stages, then Reg Ops drives standardisation only at later stages

	Phase 1: Moving with Less Disruption	Phase 2: Pushing for Performance	Phase 3: Standardisation Across Markets
Typical Period	0-3 months from Ramp-up	4-9 months from Ramp-up	Month 10 onwards from Ramp-up
Implications to ways of working	• **Local teams have more flexibility** in deciding how to run the operations • Regional and ID team support Local Market's needs, **provide guidance but avoid strict processes** early on.	• With the **transition stabilized**, efforts shift toward **optimizing agent performance**.	• **Standardize core methodologies and frameworks** for efficiency and scalability.
Scope of Local Team	**Overall owner** of their respective teams in ID		
Scope of Regional Team	• Maintain **overall direction and strategy**. • Coordinate on **compliance (Legal, Tax) and Product Features** matters	• **Drive performance goals** across markets.	• **Standardize Operations and Admin matters** (comben scheme, HR Policies) • **BPO Management** (tender, penalties) • **Maintain alignment with ID** for ongoing standardization.
Scope of ID Team	• **Manage shared resources** (hiring pipeline and office space) to meet target timeline • **Ensure ramp up quality** (agent quality, productivity, training)	• **Advise Local Teams** on how to improve performance	• Take a **more hands-off approach** as standardization is implemented.

Details in Appendix

Backup | Detailed working arrangements and focus at each phase

Tasks	Phase 1: Moving with Less Disruption (3 months from ramp up)			Phase 2: Pushing for Performance (4-9 months from ramp up)			Phase 3: Standardization Across Markets (Month 10 onwards from ramp up)		
	Local Team	Regional Team	ID Team	Local Team	Regional Team	ID Team	Local Team	Regional Team	ID Team
BPO Contractual Terms	• Sign BPO contract	• Reg Legal: Draft contract	• Lead BPO negotiation	WIP					
Compensation & Benefits	• Propose adjustments if needed	• Review adjustments from Local Team	• Share current salary / incentive structure with Local team						
Team Structure	• Decide on team structure and reporting line	• Share standardized team structure with Local Team	• Propose ration of support to agents						
HR Policies	• Propose adjustments if needed	• Review adjustment from Local team	• Share ID's policies with Locat team						
Headcount Fulfillment (Ramp Up)	• Provide month on month projections and execute hiring	• Consolidate headcount projections • Align with ID on ramp up timeline	• Manage shared resources (hiring pipeline and office space) to meet target timeline						
Pre-ramp up Activities	• Align with Reg team on product features and testing requirements	• Oversee the various pre-ramp up activities (feasibility testing, pilot)	• Provide manpower and assistance for pre-ramp up activities						
Ramp up Activities	• Conduct training in person	• -	• Assist with logistics (e.g. booking of training rooms) • Have SPV / Trainer to review training materials						
Daily Operations (Stable State)	• Overall owner of respective operations in ID	• Assist in prioritization during conflict of interests	• Assist Local Team to troubleshoot any issues						

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Contractual Terms | To ensure tax compliance, relevant Shopee Entity (e.g. Shopee BR) need to sign the contract. We prefer Opt 1 as it has lower risk and lower tax exposure.

Option	BPO Contract	Office Lease Contract	Risk assessment	Cost assessment
Preferred **Option 1** **(SPE contracts directly with ID BPO)**	ID BPO — SPE Contract + Invoice **Tax exposure (usd/month):** BR: $69,720 (41.75%) SG: $6,610 (9.96%) MY: $19,723 (15.20%) TW: $41,987 (29.60%)	ID LL — SPE ID — ID BPO Contract + Invoice; Contract + Invoice; Contract + Invoice SPE **Tax exposure (usd/month):** BR: $10,723 (51.75%) SG: $1,984 (19.96%) MY: $4,992 (25.20%) TW: $7,623 (39.60%)	**(+) Low risk.** Just need to make sure ID BPO does not state that they're offering rental services, but lump all the costs as "service cost"	(+) Slightly lower tax exposure than Opt 2 Total tax exposure (usd/month): BR: $80,442 SG: $8,594 MY: $24,715 TW: $49,610
Option 2 **(SPEID recharges cost to SPE)**	ID BPO — SPE ID — SPE Contract + Invoice; Contract + Invoice **Tax exposure (usd/month):** BR: $80,006 (47.91%) SG: $7,273 (10.96%) MY: $21,695 (16.72%) TW: $49,930 (35.20%)	ID LL — SPE ID — SPE Contract + Invoice; Contract + Invoice **Tax exposure (usd/month):** BR: $9,927 (47.91%) SG: $1,089 (10.96%) MY: $3,312 (16.72%) TW: $6,776 (35.20%)	**(-) Some risk on SPEID.** If scrutinised by Tax Office, can be considered as taking in Rental Income	(-) Highest tax exposure Total tax exposure (usd/month): BR: $89,993 SG: $8,363 MY: $25,007 TW: $56,706
Option 3 **(Cost kept in SPEID)**	ID BPO — SPE ID Contract + Invoice **Tax exposure (usd/month):** BR: $18,369 (11.00%) SG: $7,300 (11.00%) MY: $14,273 (11.00%) TW: $15,603 (11.00%)	ID LL — SPE ID Contract + Invoice **Tax exposure (usd/month):** BR: $2,279 (11.00%) SG: $1,093 (11.00%) MY: $2,179 (11.00%) TW: $2,118 (11.00%)	**High risk, should not consider** this option at all. **If discovered by tax office, we have to pay the unpaid CIT tax plus penalty.** SPEID will be open to scrutiny from Tax Office.	Lowest tax exposure Total tax exposure (usd/month): BR: $20,648 SG: $8,393 MY: $16,452 TW: $17,721

*SPE = relevant Shopee Entity, e.g. Shopee BR
Tax exposure amount is based on the movement plan agreed by local teams (shown next few slides)

Overall Movement Updates

2. We plan to consolidate ~1.3k headcount to ID, VN and PH by 2026, with an estimated cost saving of ~USD 12.3M a year

Details to follow

Origin Market	Function	Current Headcount	Origin Cost / Mth	Destination Country	Destination Cost / Mth	2025		2026		Pilot Date / Launch	Translation Tool
						HC Moved	Savings / Mth	HC Moved	Savings / Mth		
SG	CS	61	$857	ID (EN)	$467	41	$15,990	0	$0	Live	Not Required
	RR	76	$857	ID (EN)	$467	73	$28,470	0	$0	Live on End March	Not Required
	Listings	48	$857	ID (EN)	$467	28	$10,920	0	$0	Live	Not Required
MY	CS	292	$975	ID (BI)	$458	80	$41,360	0	$0	07 Apr - 28 May	In Development
	RR	161	$975	ID (EN)	$490	100	$48,500	0	$0	05 May - 21 Jul	Not Required
	Listings	162	$975	ID (BI)	$458	83	$42,911	0	$0	2c 14 Apr - 06 Jun **(Listings QC)**	Not Required
BR	CS	1134	$1,439	ID (BI)	$564	125	$109,375	0	$0	02 Jun - 22 Aug	In Development
	RR	330	$1,439	ID (BI)	$564	80	$70,000	0	$0	17 Mar - 09 May	Completed
	Listings	190	$1,439	ID (BI)	$564	91	$79,625	0	$0	2c 07 Apr - 02 May **(Video Labelling)**	Not Required
TW	CS	282	$2,654	ID (BI)	$516	18	$38,484	66	$141,108	TBC	Required - Not Started
	RR	73	$2,496	ID (BI)	$516	12	$23,760	44	$87,120	TBC	Required - Not Started
	Listings	130	$2,478	ID (BI)	$516	11	$21,582	22	$43,164	TBC	Required - Not Started
2b Shopchat (To ID)	-	383	$906	ID (BI)	$405	0	$0	383	$191,705	TBC	Required - Not Started
Shopchat (To VN)	-	27	$1,236	VN (En)	$1,097	0	$0	27	$3,765	TBC	Not Required
Shopchat (To PH)	-	50	$1,190	PH (En)	$690	0	$0	50	$24,978	TBC	Not Required
Total	**-**	**3399**	**-**	**-**	**-**	**742**	**$530,977**	**592**	**$491,840**	**-**	**-**

Listings and Content Pilot

As listing & content agents do not interact with users directly, our objective is to to 1) move more HC 2) move with less product costs and 3) move faster

Focus of section: How to achieve these through feasibility study

Move more HC

Move with less product costs

Move faster

Details of feasibility study	BR-ID Video Labelling	MY-ID Listing QC
Objective	Whether we can proceed with BPO consolidation without translation tool	
Status	Completed	Completed
Period of test	3 to 14 Feb	3 to 14 Feb
No. of agents	2 ID agents, 2 BR agents	2 ID agents
Sampling size	4k videos (2k for e-commerce, 2k for non-ecommerce)	~4.1k listings in English, Malay and Chinese covering 6 P1 regional listings policies

Based on QA issues from language issues only, we propose to proceed without translation tools but need to improve 1) aligning SOP and 2) increasing productivity

Results of feasibility study		BR-ID Video Labelling (Low risk)				MY-ID Listing QC (Higher Risk)
		Content Label (Non E-comm)	Content Label (E-comm)	Commercial Quality	Product Relevance	
QA	Target	>90%				**>94%**
	Raw QA score	**88.4%**	**81.9%**	**92.7%**	**68.1%**	**92.0%**
	Wrong judgement due to language	5.9%	4.1%	0.0%	0.0%	3.4%
	Wrong judgement due to ops issues	5.7% (agent error)	14.0% (agent error)	7.3% (agent error)	1 31.9% (SOP diff.)	4.6% (agent error)
	Adj. QA score for language issue only	**94.1%**	**95.9%**	***Proposal: Proceed without translation tool*** **100.0%**	**100.0%**	**96.6%**
Productivity	Target	N/A (as study was conducted offline so not fair to measure productivity)				2 **4,500**
	Results					**2,165**
	Reasons for target- result gap					1. Not familiar with MY SOP 2. Diff review process

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1 Video labelling SOP: >90% of inaccurate cases due to ID's stricter SOP which require products in video and PDP to be the exactly same, need ID to follow BR SOP

Policy Recap :

- If products shown in videos and product page (PDP) are the **EXACT SAME**, to be tagged as "Strong"
- If products are **similar but with different styles, colours, size**, etc., to be tagged as "Weak"
- If completely unrelated (for e.g. video shows a fan but PDP shows a water bottle), to be tagged as "Irrelevant"

BR Judgement

- If we compare the products in video and PDP on **high level, products are exactly the same (black color ceiling fan, 3 blades with white light)**
- Based on SOP guidelines, **BR agents tag as "Strong"** for product relevance

ID Judgement

- Agents are expected to **check thoroughly** (**all pattern details, at different angles**) before concluding that products are exactly the same
- **PDP image** shows **a line pattern** (highlighted in red box) vs **in video,** it **cannot be seen** clearly; **ID agents tag as "Weak"** as patterns are different

Proposal : Train ID agents to align with BR SOP

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2 Productivity: Low productivity caused by different review steps from MY or unfamiliar with policy; we'll standardise the steps, gradually increase productivity targets

Root cause		MY Agents (Productivity: 5,140)	ID Agents (Productivity: 2,165)	Proposed Next steps	Est. uplift on current ID agents productivity
Different review steps	**How agents review images**	Not required to check all images per MY SOP	Required to check all images per ID SOP	**Standardise ID image review steps to MY** risk is low (i.e. MY has met P1 policy FE sweep fail rate 96% of the time in the L8W)	**+1,089**
Unfamiliar with policy	**How agents review the listing**	Generally **can** decide based on image	Generally **cannot** decide based on image, so they still need to check title or description or use external tools (e.g. image search)	**Gradually increase productivity targets** As this is a familiarity issue, agents should be faster as they become experienced; we will gradually raise targets	**+ Up to 911**
	How agents use review guidelines	Can memorise the policies and refer to guidelines less	Need to refer to guidelines more often		**+Up to 825**
				Total	**Up to 4,991** > 4,500 target

2 [Backup] About 2.8K loss in productivity are mainly contributed by agents putting more effort in reviewing or referencing review guidelines

		Review product details						Check Guideline	Select action & reason	Scrolling to next item	Total
		Check Image	Check Title	Check Description	Search Image[2]	Translate Text/Image[2]	Check Variation				
Average time spent per listing (in sec)[1]	ID Actual Prod. 2,165	5.51	0.56	1.53	0.37	0.83	0.19	3.14	1.30	0.57	**14.0 (A)**
	MY Actual Prod. 5,140	2.35	0.12	0.35	0.14	0.04	0.54	0.74	0.48	0.35	**5.11 (B)**
Difference in time spent (D)		3.16	0.44	1.18	0.23	0.79	-0.35	2.40	0.82	0.22	**8.89 (A-B = E)**
Productivity impacted[3] (D ÷ E) x C		**1,089**	**151**	**408**	**80**	**272**	-119	**825**	282	76	**3,064 [0.76 x 32,400 x (1/B-1/A) = C]**

1 2 3

Key Takeaways

1. ID agents are required to check all images as per ID general SOP unlike MY
2. ID agents can't decide based on product images only, so they took extra step to check title/ description, search image online or translate listings
3. ID agents need to reference review guidelines more often

Notes:

1. We collected videos of agents reviewing batch of QCs and timed each review step; as agents generally take longer to review failed listings, we use a weighted approach to adjust the time spent based on the % of failed items in the actual study (~12.5%)
2. MY allows agents to use Google Image search or translation tool to help reviewing of Chinese listings, when unclear on the product
3. Productivity = agent utilisation ratio (0.76 for MY) x working hours in seconds ÷ average time spent per listing; impacted productivity = ratio of time spent difference between each step and total x MY-ID productivity difference based on video recording (note that this isn't the same as the actual difference in MY-ID productivity)

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Since no product effort is required, we can proceed to pilot phase 1 to 2 month earlier than originally planned

Phase	#	Action Plan	PIC	Feb 2025	Mar 2025	Apr 2025	May 2025	Jun 2025	Jul 2025	Aug-Dec 2025
Feasibility Study	1	Study MY-ID offshoring feasibility	Reg Ops							
	2	Align with BR/MY on study outcome and detailed transition plan	Reg Ops							
Pilot Test	3	Hire agents	ID Ops							
	4	Train ID agents on MY/BR policies	MY/BR Ops							
	5	Stabilize agent performance	ID Ops							
Ramp Up	6	Hire additional agents	ID Ops							
	7	Train ID agents on MY/BR policies	MY/BR Ops							
	8	Stabilize agent performance	ID Ops							

Notes
1. Overall timeline could be pushed earlier if hiring process could be sped up (to align with BPO Consolidation Team)
2. Agent training takes about 2 weeks time and full stable operation can typically be expected in 1 month (i.e. meet QA and productivity)

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Product Agents

There are 1.2k agents under product's budget but managed by local listings and CS to do data labeling for model training; these HC is currently loosely managed

These agents have local reporting lines and do annotation tasks to train models or to monitor the quality of the search algo and AI generated content

Role	PIC	Description
Ownership of budget	Product	• Costs are charged to R&D budget under product
Labeling HC requirements	Product	• Yicheng and David will review the projects and approve requests to hire
Hiring plan to meet labeling requirements	Regops listing Local ops	• Reg ops will align hiring plan with individual local teams (including non-listing teams like CS, Shopeefood and Seamoney) to meet the requirements • Local ops will arrange for hiring
Liaison with local to complete labeling tasks	Product	• Product will directly assign tasks to local PICs
Day-to-day agent management	Local ops mostly listings and CS	• Local PIC will train and allocate agents to tasks

Currently, there is **limited governance over the efficiency of these data labelling HC** as these HC is under product, opportunity to tighten

Local / reg ops involvement

Product Agents | Regional Ops will include these 1.2k agents in our regular headcount tracking drive efficiency through productivity initiatives and BPO consolidation

Reg/ local ops are to **track, report and manage** these headcount as a **part of the regular headcount management processes** including target setting and productivity management

Track and drive agent efficiency

We plan to actively track agent headcount and optimize productivity through initiatives

BPO consolidation

	Total HC[2]	[A] Current monthly cost	[B] Monthly cost if move to ID	[A - B] Max. monthly opportunity
SG	102	31,014	24,494	6,520
MY	125	108,929	34,840	74,089
TH	145	87,276	45,349	41,927
TW	50	82,499	25,517	56,983
ID	408	222,935	167,573	55,361[1]
VN	113	64,331	25,213	39,119
PH	144	124,176	46,722	77,454
BR	91	120,219	19,030	101,189
TOTAL	**1178**	**841,380**	**388,738**	**452,642**

1. There are still some savings for ID as ID listings is moving operations from Jakarta to Solo in April
2. Assuming that **ALL** current headcount is consolidated (Before efficiency initiatives)

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3b. Cost: CS - Shop CS

Current Issue [Recap] | Managing Shop Chat agents separately results in suboptimal decisions and missed synergies, need for more holistic approach to transformation

Fragmented consolidation across markets add complexities and inhibits synergies

1

Mks. with Consolidated Ops	Business Lines Served	Markets Served	# of HC	Avg. Cost/HC
ID	CN SIP, Other SIP, SBS	ID, SG, MY, PH	225	$425
PH	CN SIP, Other SIP, SBS, Local SCS	SG, PH	118	$701
VN	CB SCS, Lovito, CN SIP, Other SIP, SBS, Local SCS	VN, PH, MY, BR, MX,CO,CL	117	$749
MY	CN SIP, Other SIP	SG, MY, TW	90	$702
CN	CB SCS, Lovito, CN SIP	SG, MY, TH, TW, PH, BR, MX,CO,CL	41	$1,142

*Note: Data as of Dec 25 HC forecast *MX,CO,CL (located in CO)*

Inconsistent performance and lack of data tracking observed across markets and business lines

2

Markets Served	Agent Hourly Productivity, Dec'24				
	Local SBS	Local SCS	CB - SCS	Lovito	CB - SIP
SG	5.5	-	13.6	-	Not available
MY	16.2	34.11	15.4	7.31	
TH	-	10.3	15.1	-	
TW	-	7.8	14.8	-	
ID	6.7	8.93	N/A	N/A	
VN	16.1	11.32	17.1	4.75	
PH	16.96	17.13	15.8	-	
BR	-	-	16.3	-	

Note: Not all markets have migrated to in-house system as of Dec'24

1. Shop Chat operations are consolidated in 5 locations serving 8-10 markets across different business lines
2. Agent productivity across markets varies from 5-16 chats handled per hour - demonstrating scope of standardisation and sharing of best practices

Transformation Plan [Recap] | Focus is on achieving ~40% savings in cost/order while improving customer satisfaction by 3pp by Dec'25

Area	Objective	Key Initiatives	Est. Impact
Cost Efficiency	Reduce Contacts	• **Increase chatbot deflection** to at least 50% by limiting direct access, expanding coverage, and improving system capabilities	- 19.5% in CPO[1] *(realise in Dec'25)*
	Reduce Cost/Agent	Sub-Topic 1 • **Optimize agent sourcing** by consolidating in ID where feasible and exploring alternatives where necessary	-28.1% in CPO[1] *(realise in Dec'26)*
	Enhance Efficiency	Sub-Topic 2 • **Enhance productivity** by optimizing agent utilization, chat concurrency, and average handling time	- 22.2% in CPO[1] *(realise in Dec'25)*
Enhance UX	Enhance SOP	• **Standardize reason codes** across business lines/markets and subsequently improve their SOPs	+2pp CSAT *(realise in Dec'25)*
Develop Enablers	Enhance Agent Management	Sub-Topic 3 • **Standardize agent management** by aligning evaluation process, performance management, and tools and systems	+1pp CSAT *(realise in Dec'25)*
	Tracking and Monitoring	Sub-Topic 4 • **Define CS performance metrics,** and set targets on 5 key metrics	N.A.

1. Cost impact estimated based on projected growth as of Dec'24

Realise in Dec' 25 | *Realise in Dec' 26*

Executive Summary

Reg CS update on driving shopchat transformation

Reduce Cost/Agent (Recap of Section 4a): As consolidation of Shop CS agents to ID will only commence in 2026 and some agents cannot be relocated, we have identified alternate cost-saving measures for agent sourcing:

- CB SCS – Since agents cannot move to ID, we will relocate them to alternative locations: 50 HC to VN and 50 HC to PH (ARR, in 2025 - $0.34M)
- SIP SG & MY – To maximize cost savings, we will relocate to ID without relying on the translation tool, with 93 HC moving to ID by 2026, planning to pilot 15 HC in Q4 2025 (ARR, in 2026 - $0.31M).
- Remaining Markets – These markets have already adopted the most cost-effective options, so no immediate changes are recommended. When remaining SIP and Local SCS/SBS move to ID from 2026 onwards, estimated savings is ~$2M ARR

Enhance Efficiency: Significant utilization gaps have been identified across most Local SCS/SBS, and CB SCS teams, indicating potential to improve productivity

- We propose a 28.4% productivity improvement for these teams, by Dec 2025, translating to ~$0.8M in annual savings by maximise synergies through agent pooling, optimizing shift scheduling/max concurrency, and reducing AHT

Enhance Agent Management: There is no standardized agent evaluation across Shop Chat teams, this includes evaluation processes, performance measures, and the tools/systems used

- We propose implementing a standardized Bucketization Program, agent performance will be assessed based on Inbound/Outbound Productivity, CSAT, QA Score, and Conversion Rate

Key Performance Metrics Tracking to commence by 21 Mar, to align on targets for key metrics by Apr

Sub-Topics

1. **Optimize agent sourcing**
2. Enhance productivity
3. Standardize agent management
4. Define CS performance metrics

Relocation Overview | Priority for the next 3-6 months is CB SCS to shift to PH/VN. In Q4, SG & MY SIP to trial in ID with English agents after MP Ops stabilize

1

Shopchat	Phase 1 2025 Focus	Phase 2 2026 and Beyond	Applicable Shopchat	Annual Savings
Optimise Sourcing	A Cannot move to ID, explore alternatives, e.g. PH, VN Contentious for ID agents to serve CN sellers	No further moves	CB SCS	$345k 25%
	B Start Trial in ID w/o translation, use English agents[1]	Ramp up operation using English agents in ID[1]	SG & MY SIP	$312k 34%
Consolidate to ID (Bahasa Agents)	C Most Using Cheapest BPO Option, Optimise BPO Management	Move to ID in 2026 and beyond using Bahasa agents with translation tool	Other SIP, Local SCS / SBS	$2.0m 51%

Note: Lovito/CN SIP is revising its plan to reduce headcount. Will provide an update upon confirmation; 1. Contingent on performance of agents in ID for MP CS

[A] | CB SCS to pilot using PH BPO in May and may ramp up to 50 hc by Dec 2025, saving $345k annually

1

Market	Projected HC Dec 25	Current Arrangement			Proposed Arrangement			Annual Savings	
		Model	BPO Name	Cost/HC	Model	BPO Name	Cost/HC	%	Abs
SG	5	Outsourced	Taiying (CN)	$1,236	Outsourced	BSV EN (VN)	$1,086	12%	$9,000
MY	17	Outsourced	60% BSV EN (VN), 40% Taiying (CN)	$1,146	In-sourced	Six Eleven (PH)	$690	40%	$93,024
TH	19	Outsourced	Taiying (CN)	$1,236	Outsourced	BSV EN (VN)	$1,086	12%	$34,200
TW	3	Outsourced	Taiying (CN)	$1,236	Outsourced	BSV CN (VN)	$1,181	4%	$1,969
VN	23	Outsourced	BSV (VN)	$868	Outsourced	BSV (VN)	$868	0%	$0
PH	12	Outsourced	BSV EN (VN)	$1,086	In-sourced	Six Eleven (PH)	$690	36%	$57,024
BR, MX, CO,CL	21	Outsourced	50% BSV EN (VN), 50% Taiying (CN)	$1,284	In-sourced	Six Eleven (PH)	$690	46%	$149,760
Total	**100**			**$1,128**			**$841**	**25%**	**$344,977**

1 CB SCS will explore the PH BPO starting in May with 12 headcount and ramp up MY and LATAM volume to 50 headcount in PH by end of Dec 2025, achieving about $345k in annual savings.

2 With Taiying operations ending on March 1th, existing VN BSV English agents will continue support.

[B] | SG & MY SIP to move to ID using English agents instead of waiting for translation tool, with trial starting in Q4 2025, achieving $312k savings in total. CN SIP will remain in MY

1

SG SIP	Projected HC Dec 25	Current Arrangement			Proposed Arrangement			Annual Savings	
		Model	BPO Name	Cost/HC	Model	BPO Name	Cost/HC	%	Abs
L1 Local SIP	44	In-sourced	4 Labor Suppliers (MY)	$700	In-sourced	VADS (ID)	$425	39.3%	$145,200
L2 Local SIP	15	FTE (MY)		$755	In-sourced	VADS (ID)	$442	41.4%	$56,263
L1 CN SIP	2	In-sourced	4 Labor Suppliers (MY)	$700	In-sourced	1-2 Labor Suppliers (MY)	$700	0.0%	$0
L2 CN SIP	2	FTE (MY)		$755	FTE (MY)		$755	0.0%	$0
1 **Total**	**63**			**$715**			**$448**	**37.3%**	**$201,463**

MY SIP	Projected HC Dec 25	Current Arrangement			Proposed Arrangement			Annual Savings	
		Model	BPO Name	Cost/HC	Model	BPO Name	Cost/HC	%	Abs
L1 Local SIP	34	In-sourced	4 Labor Suppliers (MY)	$700	In-sourced	VADS (ID)	$425	39.3%	$110,931
L1 CN SIP	12	In-sourced	4 Labor Suppliers (MY)	$700	In-sourced	1-2 Labor Suppliers (MY)	$700	0.0%	$0
2 **Total**	**46**			**$700**			**$499**	**28.7%**	**$110,931**

. *Headcount is still under planning phase and will be subject to changes

1 SG plans to relocate 59 L1 and L2 agents to ID while 4 CN SIP agents stay in MY, achieving $201k annual saving.

2 MY plans to relocate 34 L1 agents to MY while 12 CN SIP agents stay in MY, achieving $111k annual saving.

3. Both SG and MY will start trial in Q4 2025 after MP operation stabilize.

[C] | Beyond service cost, we assess BPO vendors based on additional criteria and track records, current agent sourcing is generally cost-effective (1/2)

Pillars	Criteria	MY BPOs					TW BPOs		TH BPOs		
		Quess	Blue I	Asia Recruit	Corner-stone	TCMY	Trans-cosmo	Chain Sky	TD	MOCAP	PRTR
Company Information	Financial Stability										
	Leadership Stability										
	Industry Expertise										
Technical Operations	KPI Adherence	N/A	N/A	N/A	N/A						
	Crisis Management	N/A	N/A	N/A	N/A						
	Scalability & Tech										
	Workforce stability										
Cost & Payment Terms	Service Cost										
	Payment Terms										
	Contract Flexibility										
Others	Security & Compliance	N/A	N/A	N/A	N/A						
	Training & Culture	N/A	N/A	N/A	N/A						
	Location & Implementation										
Cost per agent		1 $700 (All local shop chats)				2 $1,310 (MPCS) $1,565 (TW SIP)	$2,195 (MPCS)	$2,330 (MPCS)	$1,231 (MPCS)	3 $1222.7 (MPCS & SBS)	$1160 (SIP, Local SCS, MPCS)

Shop Chat BPOs

1. Quess, Blue I, Asia Recruit, and Cornerstone serve all 3 MY local teams and SG SIP, offering **up to 37% cost savings per agent** vs. MPCS BPOs while excelling in quality metrics
2. TCMY (MY) supports TW SIP at a slightly higher rate than MY MPCS but remains **~30% cheaper than TW local BPOs**, outperforming them in key qualitative areas
3. MOCAP supports MPCS & SBS in TH, while PRTR serves MPCS, Local SCS & SIP in TH, both demonstrating **strong quality**

Likert Scale: ≥4 to 5 | 3 to <4 | <3

Note:
- TW Local SCS and SBS use FTEs instead of BPO
- TH SIP, Local SCS and SBS use combination of BPOs and FTE
- SG SIP uses the same BPO as Malaysia
- MY BPOs do not manage KPI, KPI managed by SIP local Ops

[C] | Beyond service cost, we assess BPO vendors based on additional criteria and track records, current agent sourcing is generally cost-effective (2/2)

Pillars	Criteria	ID BPOs		PH BPOs			VN BPOs		BR BPOs			
		VADs	Pro-cust	ePer-formax	Six-Eleven	Support Zebra	SSU	BSV	Teleper formance	Alma-viva	AeC	CNX
Company Information	Financial Stability											
	Leadership Stability											
	Industry Expertise											
Technical Operations	KPI Adherence	N/A	N/A									
	Crisis Management	N/A	N/A									
	Scalability & Tech	N/A	N/A									
	Workforce stability											
Cost & Payment Terms	Service Cost											
	Payment Terms											
	Contract Flexibility											
Others	Security & Compliance	N/A	N/A				N/A	N/A				
	Training & Culture	N/A	N/A				N/A	N/A				
	Location & Implementation											
Cost per agent		1 $398 (Local & MPCS)	$400 MPCS	2 $856 (SG SBS MP CS)	3 $690 (Local teams and MPCS)	$690 (MPCS)	4 $735 (Local teams & MPCS	5 :$668 835 (MPCS, (CB SCS) EN: 1086	6 $1,288 (SIP & MP CS)	$1356 (MPCS)	$1278 (MPCS)	$1444 (MPCS)

Not the most cost-effective option, involves only 9 agents

Likert Scale: ≥4 to 5 | 3 to <4 | <3

Shop Chat BPOs

1. VADS supports all 3 ID local teams at a slightly higher rate than MPCS, with **strong quality** across key areas
2. ePerformax serves SG SBS with solid performance
3. Six-Eleven supports all PH local teams and MPCS at **~30% lower cost per agent** than ePerformax
4. SSU & BSV (VN) serve Shop Chat teams with comparable costs and quality
5.
6. Teleperformance serves BR SIP with **excellent qualities**

Note:

- CB SCS VN uses non-English speaking agents ($835 per agent) and SG, MY, VN and PH use English speaking ones from BSV ($1086 per agent)
- ID BPOs provide labor-supply model, work on Shopee premises and do not provide trainings, hence some metrics are not applicable

[C] | Rest of countries' local SIP will relocate to ID while CN SIP will remain status quo, estimating $450k, from 2026 onwards.

BACKUP 1

Local SIP

Market	Projected HC Dec 25	Current Arrangement			Proposed Arrangement			Annual Savings	
		Model	BPO Name	Cost/HC	Model	BPO Name	Cost/HC	%	Abs
TH	14	Mixed FTE & In-sourced	FTE, PRTR	$1,336 3xBPO:$1160 | 12x FTE: $1380	In-sourced BPO	VADS (ID)	$398	70.21%	$157,584
TW	3	In-sourced	TCMY (MY)	$1,565	In-sourced BPO	VADS (ID)	$398	74.57%	$42,012
VN	3	Outsourced	SSU (VN)	$735	In-sourced BPO	VADS (ID)	$398	45.85%	$12,132
PH	41	Outsourced	Six Eleven (PH)	$690	In-sourced BPO	VADS (ID)	$398	42.32%	$143,664
BR	6	Outsourced	Teleperformance (BR)	$1,551	In-sourced BPO	VADS (ID)	$398	74.34%	$83,016
MX,CO,CL	1	Outsourced	BRM S.A (CO)	$1,329	In-sourced BPO	VADS (ID)	$398	70.05%	$11,172
Total	**68**			**$949**			**$398**	**58.06%**	**$449,580**

CN SIP

Market	Projected HC Dec 25	Current Arrangement			Proposed Arrangement			Annual Savings	
		Model	BPO Name	Cost/HC	Model	BPO Name	Cost/HC	%	Abs
TH	1	FTE		1,380	FTE		1,380	0.00%	$0
TW	2	In-sourced	TCMY (MY)	$1,565	In-sourced BPO	TCMY (MY)	$1,565	0.00%	$0
VN	1	Outsourced	SSU (VN)	$735	Outsourced	SSU (VN)	$735	0.00%	$0
PH	6	Outsourced	Six Eleven (PH)	$688	Outsourced	Six Eleven (PH)	$688	0.00%	$0
BR	17	Outsourced	Teleperformance (BR)	$1,551	In-sourced	Teleperformance (BR)	$1,551	0.00%	$0
MX,CO,CL	5	Outsourced	BRM S.A (CO)	$1,329	In-sourced	BRM S.A (CO)	$1,329	0.00%	$0
Total	**32**			**$1,325**			**$1,325**	**0.00%**	**$0**

[C] | Local SBS & SCS will relocate to ID using translation tools, achieving $1.5m savings from 2026 onwards

BACKUP 1

Local SBS

Market	Projected HC Dec 25	Current Arrangement			Proposed Arrangement			Annual Savings	
		Model	BPO Name	Cost/HC	Model	BPO Name	Cost/HC	%	Abs
SG	9	Outsourced	ePerformax (PH)	$856	In-sourced BPO	VADS (ID)	$398	70.21%	$49,464
MY	15	In-sourced	4 Labor Suppliers (MY)	$700	In-sourced BPO	VADS (ID)	$398	43.14%	$54,360
TH	19	Mixed FTE & In-sourced	FTE, MOCAP	$1,239 17xBPO:$1222.7| 2x FTE: $1380	In-sourced BPO	VADS (ID)	$398	67.88%	$191,807
TW	6	FTE		$2,035	In-sourced BPO	VADS (ID)	$398	80.44%	$117,864
VN	42	Outsourced	SSU (VN)	$735	In-sourced BPO	VADS (ID)	$398	45.85%	$169,848
PH	46	Outsourced	Six Eleven (PH)	$690	In-sourced BPO	VADS (ID)	$398	42.32%	$161,184
Total	**137**			**$851**			**$398**	**53.22%**	**$744,468**

Local SCS

Market	Projected HC Dec 25	Current Arrangement			Proposed Arrangement			Annual Savings	
		Model	BPO Name	Cost/HC	Model	BPO Name	Cost/HC	%	Abs
SG	0	n.a.			n.a.			0.00%	$0
MY	3	In-sourced	4 Labor Suppliers (MY)	$700	In-sourced BPO	VADS (ID)	$398	43.14%	$10,872
TH	19	Mixed FTE & In-sourced	FTE, PRTR	$1,172 18xBPO:$1160| 1x FTE: $1380	In-sourced BPO	VADS (ID)	$398	66.03%	$176,376
TW	22	FTE		$2,035	In-sourced BPO	VADS (ID)	$398	80.44%	$432,168
VN	25	Outsourced	SSU (VN)	$735	In-sourced BPO	VADS (ID)	$398	45.85%	$101,100
PH	16	Outsourced	Six Eleven (PH)	$690	In-sourced BPO	VADS (ID)	$398	42.32%	$56,064
Total	**85**			**$1,159**			**$398**	**65.67%**	**$776,580**

Sub-Topics

1. Optimize agent sourcing
2. **Enhance productivity**
3. Standardize agent management
4. Define CS performance metrics

Current Observations | Significant utilization gaps identified across most teams & markets, indicating potential to drive uplift through productivity levers

MKT	BL	Productivity metrics				Supporting metrics				
		Prod.	AHT	Utilization	Max conc.	Actual conc.	Agent FRT (sec)	Agent ART (sec)	Occupancy	Chat / hour
CN	CB SCS	16.2	15.6	78%	5.3	4.2	15.0	18.8	1.0	18.0
TW	Local SBSSCS	25.4	7.2	90%	3.2	2.8	24.5	28.6	1.0	26.4
TH	Local SBSSCS	20.2	7.3	87%	2.5	2.2	24.9	22.4	0.6	21.1
PH	Local SCS	17.4	8.1	54%	4.4	2.4	113.7	23.4	0.9	18.4
PH	Local SBS	7.3	13.2	39%	4.1	1.6	141.6	48.5	0.7	7.8
MY	Local SCS	13.9	3.9	33%	3.0	1.0	44.1	27.7	0.6	14.1
MY	Local SBS	13.8	5.4	36%	3.0	1.1	97.0	44.4	0.7	14.1
ID	Local SBS	14.1	7.0	53%	3.0	1.6	40.9	27.7	0.8	15.0
SG	Local SBS	6.3	10.7	57%	2.0	1.1	16.4	57.3	0.7	6.8
VN	Local SBSSCS	14.0	17.3	38%	10.0	3.8	178.8	126.7	1.0	15.0
	Reg.	**13.8**	**12.6**	**47%**	**5.9**	**2.8**	**93.6**	**61.1**	**0.9**	**14.8**

1. **PH and MY:** Independent operations of Local SCS and SBS, both with low utilization, indicating possible **low incoming chat volume/excess headcount**
2. **ID:** Low utilization indicating possible **inefficiencies in shift scheduling, especially during non-peak hours** (currently the only team operating a 24/7 shift)
3. **SG:** SG's low productivity mainly due to **low incoming volume due to size of market**
4. **VN:** Low utilization combined with the longest AHT driven by **high FRT and ART**, due to **high max concurrency**

Note:
- Current productivity analysis is based on LOBs which have migrated to the inhouse system
- Data range is from 01-15 Feb 2025

2025 Targets | We propose a 28.4% productivity improvement for Local SCS, SBS, and CB SCS teams, by Dec 2025, translating to ~$70k (23%) savings per month

2

MKT	BL	Current performance				Target performance (Dec 2025)					Potential Cost savings		
		Prod.	AHT	Utilization	Max conc.	Prod.	AHT	Utilization	Max conc	% Prod. gain	# Agents	Cost /agent	Cost savings
CN	CB SCS	16.2	15.6	78%	5.3	16.7	15.1	78%	5.3	3.1%	64	$884	**$1,752**
TW	Local SBSSCS	25.4	7.2	90%	3.2	25.4	7.04	90%	3.2	0.0%	23	$2,035	**$0**
TH	Local SBSSCS	20.2	7.3	87%	2.5	21.0	7.1	75%	3.0	4.3%	20.5	$933	**$823**
PH	Local SCS	17.4	8.1	54%	4.4	17.7	8.0	54%	4.4	2.0%	22	$688	**$309**
PH	Local SBS	7.3	13.2	39%	4.1	17.6	8.0	56%	4.1	140.0%	12	$688	**$11,561**
MY	Local SCS	13.9	3.9	33%	3.0	25.4	3.9	62%	3.0	82.1%	6	$600	**$2,957**
MY	Local SBS	13.8	5.4	36%	3.0	23.5	5.4	62%	3.0	70.6%	26	$600	**$11,020**
ID	Local SBS	14.1	7.0	53%	3.0	18.8	7.01	42%	5.0	32.9%	145	$390	**$18,614**
SG	Local SBS	6.3	10.7	57%	2.0	15.0	10.4	88%	3.0	137.3%	10	$856	**$11,755**
VN	Local SBSSCS	14.0	17.3	38%	10.0	16.2	15.3	77%	5.0	15.5%	93	$776	**$11,193**
Reg.		**13.8**	**12.6**	**47%**	**5.9**	**17.8**	**11.1**	**65%**	**5.7**	**28.4%**	**422**	**$718**	**$69,985**

~23% cost savings v/s $306k cost per month in Dec 2024

1. **Maintain high performance - TW and TH Local SBSSCS, CB SCS:** High baseline productivity levels, expected to **maintain current performance** with marginal improvements in AHT and utilization rate
2. **Agent cross sharing - PH and MY Local SCS & SBS:** Significant potential to tap on synergies through **cross-sharing of agents** between Local SCS and SBS teams and operations consolidation
3. **HC right-sizing - SG Local SBS:** Substantial productivity improvements anticipated with **headcount right-sizing** and potential agent pooling with SG SIP
4. The **higher productivity gain and cost savings target** for CB SCS, Local SCS, and SBS (above the **20.7% Shop Chat target**) reflects their greater improvement potential, allowing more flexibility for Lovito and SIP in setting their targets

Note:

- Data range for current performance analysis is from 01-15 Feb 2025

Target Setting Logic | We set targets bottom-up, aligning sub metrics and benchmarking utilization against Marketplace counterparts

BACKUP 2

Productivity = (1) Max concurrency (per hr) X (2) Agent utilization (%) X 60 (min / hr) ÷ (3) Average handling time (min)

Target setting methodology

(1)
- **Kept unchanged for most teams**
- Only changed outliers / based on local request (ID) to keep max concurrency at reasonable levels:
  - **SG:** 2 → 3; **TH:** 2.5→ 3; **ID:** 3→ 5
  - **VN:** 10 → 5

(2)
- Aligning max concurrency targets to the **MP benchmark of 2.7** and calculating the equivalent utilization rate
- Adjusting targeting utilization to keep **minimum at ~70%**

(3)
- No change for MY local SCS, SBS and ID SBS **(AHT <7)**
- PH SBS to benchmark Local SCS
- VN: 12% AHT cut due to high FRT/ART
- Others: **2% cut (AHT <10), 3% (AHT >10)**
- Kept **target AHT / chat** on par across teams

MKT	BL	Target uti.	(1) Target max conc.	(2) Equivalent uti.	Benchmark max conc	(3) Target AHT / conc.
CN	CB SCS	78%	5.3	158%	2.7	3.6
TW	Local SBSSCS	90%	3.2	107%	2.7	2.5
TH	Local SBSSCS	75%	3.0	85%	2.7	3.2
PH	Local SCS	54%	4.4	89%	2.7	3.4
PH	Local SBS	56%	4.1	87%	2.7	3.4
MY	Local SCS	62%	3.0	70%	2.7	2.1
MY	Local SBS	62%	3.0	70%	2.7	2.9
ID	Local SBS	42%	5.0	79%	2.7	3.3
SG	Local SBS	88%	3.0	100%	2.7	3.9
VN	Local SBSSCS	77%	5.0	145%	2.7	4.0

Overview of Levers | Utilisation levers expected to drive the highest productivity gain (~21%), followed by AHT (5%) and concurrency levers (2-3%)

Levers	Initiative description	Applicability										Impact
		TW	TH	PH		MY		ID	SG	VN	CN	
		Local SBSSCS	Local SBSSCS	Local SCS	Local SBS	Local SCS	Local SBS	Local SBS	Local SBS	Local SBSSCS	CB SCS	
Agent pooling	A • **Maximize synergies** (e.g., flexibility, economies of scale) by **cross-sharing agents** across LOBs / countries			✔		✔			✔			+21% productivity
Shift schedule optimization	B • **Shut down low volume shifts** with chatbot deflection / self service					✔		✔		✔		
	• **Reduce shift overlaps**			✔		✔			✔			
	• **Increase chatbot deflection** during peak period	✔	✔								✔	
	• **Assign missed after-hours chats** to agents during business hours for follow-up								✔			
HC rightsizing	• **Reduce excess HC** for low volume teams / after merging agent teams / shift schedule optimization			✔		✔			✔	✔		
Optimize max concurrency	C • Optimize max concurrency to **balance utilization and user experience (FRT and ART)**								✔	✔	✔*	+2 to 3% productivity
SOP improvement	D • Map customer journey and **streamline chat service SOP** across key stages					✔						+5% productivity *(2-3% offset by utilization increase)*
Productivity tools	• Implement **agent assistant system**					✔						
Agent performance mgt.	• Rollout **agent bucketization** framework					✔						
	• BPO terms renegotiation to implement **SLA for FRT and ART**					✔						

Utilization | Concurrency | AHT | Deep-dive on next pages

Total impact: +28 to 29% productivity

*Adjusting max concurrency for CB SCS is not an immediate priority, but can potentially unlock additional productivity uplift

[A] Maximise synergies through agent pooling: Share agents across business lines or countries to enhance flexibility and boost productivity

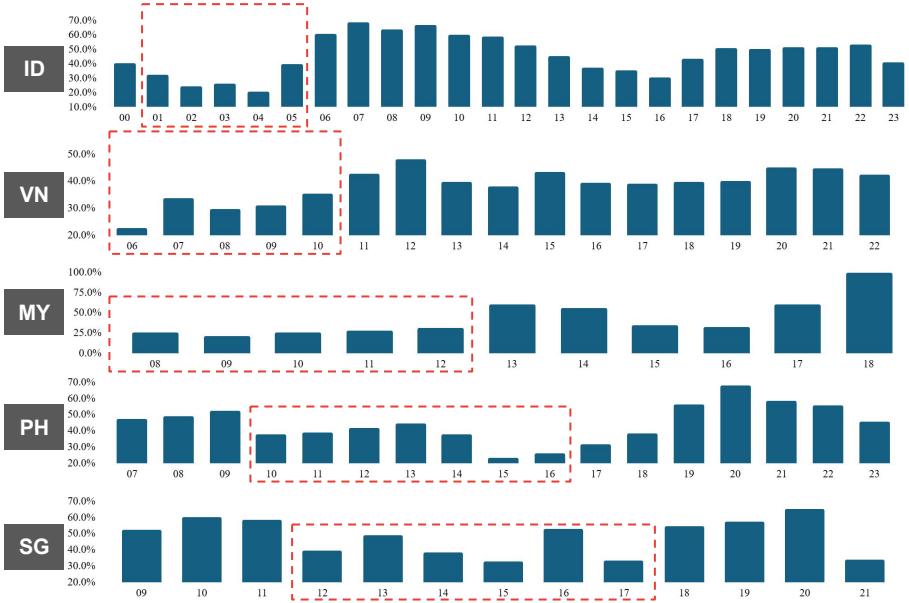
Maximizing synergies by cross sharing agents

Lever	Current state	To-be state
Maximizing synergies	• **PH Local SCS and SBS operate separately** • PH SBS has **low productivity (7.3)** vs. Local SCS (17.4) and regional average (13.8), likely due to low volume	• With agent pooling, Local SCS can **leverage SBS agents during low-volume periods**, improving productivity and overall efficiency
	• **MY Local SCS & SBS operate separately** • Both teams have **low utilization (33% & 36%)** below regional average (47%), suggesting excess manpower v/s low incoming chat volume	• With agent pooling, Local SCS and SBS can **consolidate incoming chats** and **optimise manpower allocation**, improving utilization and efficiency
	• **SG SBS** has the **lowest productivity (6.3)**, mainly due to low volume, presenting opportunities to merge with other SG teams	• SG SBS could merge with SG SIP to streamline demand • SG currently shares SIP and SCS and **previously shared SBS agents**; feasibility of reintegration needs assessment

Next step: Verify with local teams on the feasibility of cross sharing agents and plan the implementation roadmap by end-March

[B] Optimizing shift scheduling | Shutting down low-utilization shifts and / or reducing shift overlaps to increase utilization and productivity

Optimizing shift scheduling

Lever	Utilization by hour (Working hours)	Potential initiatives
Optimizing shift scheduling		• **ID:** Currently operated 24/7 • Potential to **shut down 01-05 AM shift** with low utilization <40% • **VN:** Potential to **shut down 06-10 AM shift** with low utilization <40% • **MY:** 08AM-12PM shift has 2 overlapping shifts but low utilization <30%, potential to **reduce overlapping / shut down** • **PH:** Low utilization from 10AM-4PM (<50%), with 2 overlapping shifts from 10AM-3PM & 3 from 3-4PM, potential to **reduce overlapping** • **SG:** Overlapping shifts from 12-5PM, with low utilization <50%, potential to **reduce overlapping**

Next step: Validate with local teams the feasibility to shut down / reduce shifts overlapping for low-utilization shifts by mid-April

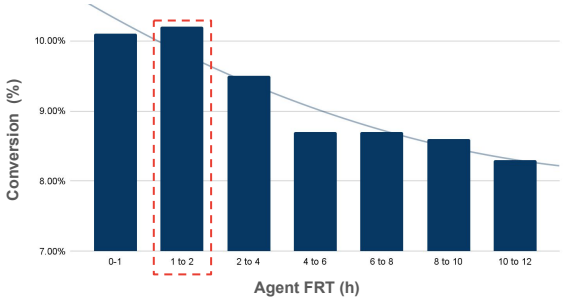
Note:
- Data range is from 01-15 Feb 2025

[C] Optimising Max Concurrency: Addressing FRT and ART variances across teams to balance utilization and response time for consistent service quality

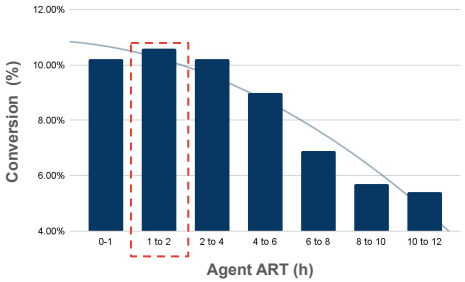
Optimizing max concurrency by balancing response time and utilization

Lever	Description
Optimizing max concurrency	

Order conversion v/s Agent FRT



Order conversion v/s Agent ART



- Based on past studies, customers **tolerate FRT and ART up to ~2 hours** with little impact on conversion rates
- However, a **more detailed breakdown** (e.g., within minutes) may show a stronger correlation between conversion rates and response time

- **SG SBS and CB SCS** have excellent agent FRT (16.4s, 15.0s) and ART (57.3s, 18.8s), **outperforming industry benchmarks** (60s for both FRT and ART); can trade off some response time for higher utilization
- **VN Local SBSSCS** has long FRT (178.8s) and ART (126.7s), likely due to **high max concurrency (10)**; potential to reduce max concurrency to increase utilization and reduce FRT and ART

Next step: Conduct a pilot study on VN Local SBSSCS by decreasing the max concurrency setting while closely monitoring UX metrics, productivity metrics and order conversion metrics to assess the impact on customer experience and agent efficiency by mid-April

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[D] Reducing AHT: Implementing SOP and system enhancements across user journey to reduce case handling time and improve productivity

Reduce AHT

User journey	Initiative	Examples	Expected Impact
1 Agent pick up contact 2 Understand problem 3 Record chat details 4 Find solution 5 Reply user with solution 6 Conclude chat	**SOP improvement**	2 Improve SOP for multiple transfers on same concerns 6 Reduce threshold for General Chase (GC)	• > 5-10 sec reduction in AHT
	System improvement	3 Case Dynamic Fields Display All Agent Assistant system 6 OCR functionality for image to text	• > 15 sec reduction in AHT
	SOP+System improvement	3 Streamline unnecessary details for record keeping 6 AI Chat closing assistant	• ~80 sec reduction in AHT

Overall Initiative: Implement agent bucketization by Jun'25 and/or renegotiate BPO terms to incorporate SLA for FRT and ART, incentivising agents to reduce AHT (progressively thru' 2025)

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Sub-Topics

1. Optimize agent sourcing
2. Enhance productivity
3. **Standardize agent management**
4. Define CS performance metrics

Current Observation | No standardized agent evaluation metrics across Shop Chat teams

Metrics	CB SCS	Lovito	SIP	Local SCS	SBS
CSAT	✔	✔	✔ *Excl. MX, CO, CL*	✔	✔
Productivity	✔ *(Chat Per Day)*	✔ *(Chat Per Day)*	✔ *ID, VN, PH*	✔ *Excl.TH*	✔ *Excl.SG, TH*
QA Score			✔ *Excl. PH*	✔ *Excl. PH*	✔ *Excl. PH*
FRT			✔ *SG, TH, VN, PH, MX,CO,CL*	✔ *Excl.ID*	✔ *Excl.ID*
AHT			✔ *SG, MY, TH*	✔ *TH, TW*	✔ *SG, TH, TW*
Attendance			✔ *SG, MY, TH, TW, MX,CO,CL*	✔ *MY, TH, TW*	✔ *SG, MY, TH, TW*
Chat Rate			✔ *SG, MY, TW*	✔ *MY*	✔ *SG, MY*
Reply Time	✔	✔	✔ *TH, MX,CO,CL*	✔ *TH, TW*	✔ TH, TW
LMS			✔ *SG, MY*		✔ *SG*
Order Conversion	✔	✔			

Key observation

1. **CSAT, Productivity, and QA Score** are the most used metrics across all teams, with minor team-specific variations
2. **FRT and AHT** are also widely used, followed by **Attendance, Chat Rate and Reply Time**
3. **Niche metrics** e.g., LMS and Survey Invitation Rate are team-specific with limited use
4. **Order conversion**, a key metric for pre-sale agent performance, is now exclusively used by CN Lovito

Issues | Besides metrics, some other key differences incl. evaluation process, performance management and tools and systems used

Category	Key variations	Description	Implication
Evaluation structure and process	Metrics weightage	• All teams **assign different weight** to different evaluation metrics (e.g., CSAT in VN Local SCS and SBS - 60%, TW Local SCS and SBS - 20%)	• Inconsistencies may lead to **misalignment with business priorities** (e.g., productivity)
	Evaluation authority	• While **QA** is involved across teams, some evaluations also include **Local Ops** (Local SCS and SBS in TW & VN), **TLs** (e.g., SIP in MY, TH, TW & ID), **supervisors** (CB SCS) and **BPO** (PH Local SCS, SBS & SIP)	• Lack of standardization may impact **fairness** and **accountability**
	Frequency of evaluation	• Evaluations are conducted with **different frequencies** (daily, weekly, bi-weekly, monthly) across **types of evaluation** (QA, overall performance, CSAT) and teams	• Inconsistency may affect **performance tracking** and improvements
	New hire probation period and evaluation	• Probation period ranges from **2 weeks** (SG SBS) **to 4 months** (Local SCS, SBS, SIP & Lovito in TH**)** • **Evaluation approach** differ across teams	• May lead to **inefficiencies** in new hire performance assessment
Performance mgt.	Recognition and performance penalties	• Some teams **lack structured recognition** (e.g., SIP in SG, MY, TW) • CB SCS incentivizes **vendors**, while others reward **agents** - monetary (VN & ID) vs. non-monetary (TW & PH) • No standard penalties/corrective measures for low performance	• May impact agent **motivation and retention**, and may lead to **unfair treatment**
Tools and systems	Performance tracking tools and systems	• **Gsheet** is commonly used across all teams, VN and TW also use **Data Suite**, ID SIP uses **Looker Studio**, and MX, CO, CL incorporate **Power BI**	• May lead to **fragmented data tracking and analysis**

High Impact

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Proposal | To address key gaps with high-impact implications, we propose to implement a standardised Bucketisation program

Key gaps

- **A** **Inconsistencies in metrics used and metrics weightage,** potentially leading to misalignment with business priorities (e.g., productivity)
- **B** **Inconsistencies / inefficiencies in new hire** performance mgt.
- **C** **Lack of standardized recognition / penalty programs**, potentially impacting agent motivation and retention
- **D** **Fragmented data tracking and analysis** due to lack of standardized performance tracking tools and systems
- **E** **Manual process** to evaluate incentive + penalty decision *(highlighted by ID, VN team)*

	Bucketisation program levers	Description
A	**Agent Bucketisation Metrics & Grading Logic (includes target setting)** *Deep dive on next page*	• Streamlined metrics to ensure alignment with business priorities: ○ **Efficiency Metrics:** Productivity (Handled contacts, Inbound v/s outbound) ○ **Quality metrics:** CSAT, QA, Order conversion rate ○ **Discipline (auto D grade):** ZTP • Metrics are weighted with minimal restrictions on prioritized scores
B, C	**Agent removal/ exemption/ monitoring process**	• Implement a **standardized PIP program**. Agents starts to undergo PIP after 1st D, and to be removed after 2D (in 2 months time) • Establish Reg Exemption Guidelines for all scenarios incl. **newbie management**
C	**Incentive scheme**	• Use agent bucketisation metrics to assign a grade for agents, Grade A agents and part of B agents to **receive incentive payout** based on score, **on a regular basis**
D, E	**Digitalisation**	• **Digitalise metrics** in Agent Dashboard in a **single inhouse system** to increase visibility • Allow markets to customise weightage, target, metrics for ZTP by bucketisation group

Different from MP

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Agent Performance Metrics | Measured by Productivity, CSAT, and QA Score, prioritized to enhance UX and ensure service consistency across markets by Jun 25

Metric Group	Agent Bucketisation Metrics	Description	Definition	Reg recommended Weightage (%)
Efficiency	Inbound Productivity	• Tracks Agents efficiency, measures work done by CS Agents	Inbound Contacts handled / Productive Hours	35%
	Outbound Productivity		Outbound Contacts handled / Productive Hours	5%
Quality	CSAT	• Measures User's satisfaction in the interaction • Helps identify User's dissatisfaction with Agent or Process issues	All good CSAT / (all good + bad CSAT)	30%
	QA Score	• Tracks the quality of responses given by Agents and adherence to SOPs/ guidelines	Sum of QA score / # of audits	15%
	Pre-sales Conversion Rate	• Measures an agent's effectiveness in converting customer inquiries into actual purchases	No. of pre-sales inquiries that resulted in a purchase / Total Pre-sales Inquiries	15%
Discipline	Zero Tolerance Policy (ZTP)	• Tracks Agent extreme violations in interactions • Includes QA ZTP metrics and Bucketization ZTP	Attendance, Gaming system, Shopee Reputation, Financial loss, Agent Language use, Personal Data Breach, Poor user experience	**Disqualifier** (reverts Agent's overall grade to D)

Weightage for the respective metrics can <u>be modified by local market</u> but some Regional guidelines to be set to ensure key metrics weightage builds bulk of scope

1. Productivity - Minimum 30%
2. CSAT - Minimum 30%

To roll out bucketization with shopchat by Jun 2025

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Different from MP

Sub-Topics

1. Optimize agent sourcing
2. Enhance productivity
3. Standardize agent management
4. **Define CS performance metrics**

CS Performance Tracking | Reg CS to standardize OKRs across revenue, UX and cost - to initiate tracking from 21-Mar, and set targets for each market across LOBs by Apr

Prelim Data

4

Defined OKRs to track performance for each market across LOBs → **Next Step: Track and set targets**

Move to CS IH

Standardise Metrics

Metric Group	Performance Metrics	Description	Local SCS/SBS avg, MTD Mar'25	Target, Dec'25
Revenue	★ Shop Conversion Rate	• Ratio of successful orders per unit incoming conversations	11.4%	TBC (To analyse and align on key OKRs by Apr'25)
User Experience (UX)	★ Shop CSAT	• Good chat session CSAT / Good + Bad chat session CSAT	69.7%	
	★ Shop Chat Response Rate (CRR)	• Chat responded within 12 hours / total buyer chats	94.3%	
	Avg. Chat Response Time (ART)	• Average reply duration from buyer last replied timestamp	54s	
	Chat Abandonment Rate	• Chats abandoned by users post 4 seconds of waiting in queue	1.2%	
Cost	★ Chat Deflection Rate	• % of user inquiries successfully resolved without agent	46.6%	
	★ Agent Productivity	• Contacts handled by agent per productive hour	16.2	
	Cost per Session	• Frontline staff cost per handled session	$0.20[1]	

1.Cost data is based on Dec'24 figures (includes only L1 headcount currently), not recommended as key OKR with set targets due to the fluctuating nature of ADO, which impacts this metric

★ Key OKRs (To set targets)

4. Fraud - Updates on Fraud escalations process and Strategy fast roll out

Executive Summary

Context:

- ID fraud losses increase started in late Dec'24 and peaked at 405K in Feb'25. Fraud risk has been under control after multiple mitigations deployed, including: 1) voucher mechanism limited to OS/ SS; 2) Loss prevention by fraud rules; 3) Loss recover via order/ escrow pending
- **Two gaps identified to better manage risk when fraud attack happens:**
  a. Not fast enough to roll out strategies/ anti-fraud logic
  b. Lack of proper escalation process to: 1) market under fraud attack and 2) other markets under potential similar risk; 3) regional stakeholders

Proposals:

1. **Not fast enough to roll out strategies:** Propose to add P0+ priority for high loss fraud cases (fraud loss >=0.2% PRM); 1) allow to direct grayscale rollout if meet criteria; 2) escalate to market head directly
2. **Lack of proper escalation process:** When risk is identified, 3 levels of escalation process needed: 1) for market under fraud risk: inform marketing and FP&A; 2) highlight for other markets with potential similar risk; and 3) inform regional stakeholders

New strategy roll out SLA | Adding priority P0+: directly gray scale for high loss cases after initial assessment; local needs to validate accuracy, SLA 1 day for 100% roll out

Prerequisite for gray scale roll out for high loss cases:

1. P0+: defines as >=0.2% of market PRM
2. Local complete the initial assessment on the 1) Rule logic makes sense; 2) User PC2 distribution

S/N	Cat	Process and steps	PIC	NEW	Current Timeline		
				P0+	P0	P1	P2
1	Case review	**Prepare cases for rule accuracy review**	Reg Ops	**Gray scale roll out , D0: increase to 50%; D+1: 100%** **Complete review in 1 day**	When received	When received	When received
2		**Local review** of the dry run results	Local Ops		**2 days**	**4 days**	**5 days**
3		[If accuracy is desirable] **Seek for approval to go live**	Local Ops		0.5 day	1 day	1 day
4		[If accuracy is undesirable] Align with local and strategy team on the logic as well as **improvements** to be made	Local, Reg, Strategy		N.A. *Dependent on logic and urgency*		
5		**Activate strategy**	Reg Ops	Same day as approval day			
Est. time to roll out starting from case review period				**1 days**	**2.5 days**	**5 day**	**6 day**

SLA Dashboard| Moving forwards, we will keep track of strategy roll out SLA closely, and highlight markets who did not meet SLA on a weekly basis

SLA dashboard for week 11 (8 Mar - 14 Mar)

	SG	MY	TH	TW	ID	VN	PH	Total
Total completed/ ongoing review	**1**	**1**	**2**	**3**	**1**	**6**	**2**	**16**
% Within SLA	0%	0%	100%	33%	100%	100%	100%	75%
% Did not meet SLA	**100%**	**100%**	**0%**	**67%**	**0%**	**0%**	**0%**	**25%**

# Did not meet SLA	**1**	**1**	**0**	**2**	**0**	**0**	**0**	**4**
P0+	0	1	0	1	0	0	0	1
P0	1	0	0	0	0	0	0	2
P1	0	0	0	1	0	0	0	1
P2	0	0	0	0	0	0	0	0

# Did not meet SLA	**1**	**1**	**0**	**2**	**0**	**0**	**0**	**4**
exceed 1 day	0	0	0	0	0	0	0	0
exceed 2 day	0	0	0	1	0	0	0	1
exceed >=3 day	1	1	0	1	0	0	0	3

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[Back-up] Priority based on fraud loss | Use % market PRM to judge priority for market, while keeping minimum # to avoid over-escalations for markets with less PRM

Current
Fixed fraud loss threshold for all regions

[New]
Priority threshold based on % market PRM*
(+): Priority is adjusted based on the PRM in the respective regions
(=): Minimum amount to prevent over-escalation for low PRM markets

Simulated # of escalation based on revised criteria

Priority	Fraud loss	Loss % PRM	SG	MY	TH	TW	ID	VN	PH
P0+	=>10K	NA	0	2	7	0	26	2	0
P0	>=5K		1	2	5	0	6	4	0
P1	>=2K		1	0	0	1	0	4	1
P2	<2K		3	1	0	1	3	3	0
Total (Dec'24 to Feb'25)			5	5	12	2	35	13	1
P0+	=>10K	NA	**0%**	**40%**	**58%**	**0%**	**74%**	**15%**	**0%**
P0	>=5K		20%	40%	42%	0%	17%	31%	0%
P1	>=2K		20%	0%	0%	50%	0%	31%	100%
P2	<2K		60%	20%	0%	50%	9%	23%	0%

Priority	Fraud loss	Loss % PRM	SG	MY	TH	TW	ID	VN	PH
P0+	Min 2K	>=0.2%	2	4	6	1	20	1	0
P0	Min 1K	>=0.1%	0	0	6	0	6	5	0
P1	Min 500	>=0.05%	0	0	0	0	6	3	1
P2	<500	<0.05%	3	1	0	1	3	4	0
Total (Dec'24 to Feb'25)			5	5	12	2	35	13	1
P0+	Min 2K	>=0.2%	**40%**	**80%**	**50%**	**50%**	**57%**	**8%**	**0%**
P0	Min 1K	>=0.1%	0%	0%	50%	0%	17%	38%	0%
P1	Min 500	>=0.05%	0%	0%	0%	0%	17%	23%	100 %
P2	<500	<0.05%	60%	20%	0%	50%	9%	31%	0%

**PRM is fixed based on Dec'24-Feb'25 daily average PRM*

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[Back-up] Tier based thresholds by market; P0+ priority defines as >=0.2% of market PRM

	SG	MY	TH	TW	ID	VN	PH
P0+	>=2,000	>=4,000	>=11,000	>=2,000	>=15,000	>=13,000	>=9,000
P0	[1,000 , 2,000)	[2,000 , 4,000)	[5,000 , 11,000)	[1,400 , 2,000)	[10,000 , 15,000)	[6,000 , 13,000)	[4,000 , 9,000)
P1	[500 , 1,000)	[1,200 , 2,000)	[2,000 , 5,000)	[700 , 1,400)	[5,000 , 10,000)	[3,000 , 6,000)	[2,000 , 4,000)
P2	<500	<1,200	<2,000	<700	<5,000	<3,000	<2,000

**PRM is fixed based on Dec'24-Feb'25 daily average PRM, except for ID adjusted downwards original P0+ based on PRM at 32K*

Escalation process | Add escalation process for high fraud loss cases: 1) escalation to market head for P0+; 2) escalate to Ops heads for P0

Adding escalations process for high fraud loss cases

- P0+: Escalate directly to Market Head while we are doing direct grayscale roll out
- P0: Escalate to Ops head for visibility
- P1/P2: Regular weekly report, to call out markets who fall below SLA

Priority	Review & go live SLA	Action required	Responsibility			Escalation process	
			Security team PIC	Local Ops Fraud PIC	Reg Ops Fraud PIC	Current escalation	[New] escalation
P0+	1	**D0: Gray-scale roll out to 50%,** continue with local review and depending on results: ● If >=90%: Increase grayscale 100% on D1 ● If <90%, or receive high complaints: reduce to 0% **Include recovery plan:** Order interception, order pending, escrow pending	1. Propose rule logic 2. Revise logic based on feedback	1. Review and confirm on accuracy with SLA 2. Conduct assessment on logic if need directly roll out	1. Review on rule logic when proposed. Facilitate discussion For low accuray rules 2. Monitor the overall go live SLA	Local Fraud lead	Market head
P0	2	Review and go live within 2 days					Ops head
P1	4	Review and go live within 4 days					Ops head, only when did not meet 80% SLA for the week
P2	5	Review and go live within 5 days					

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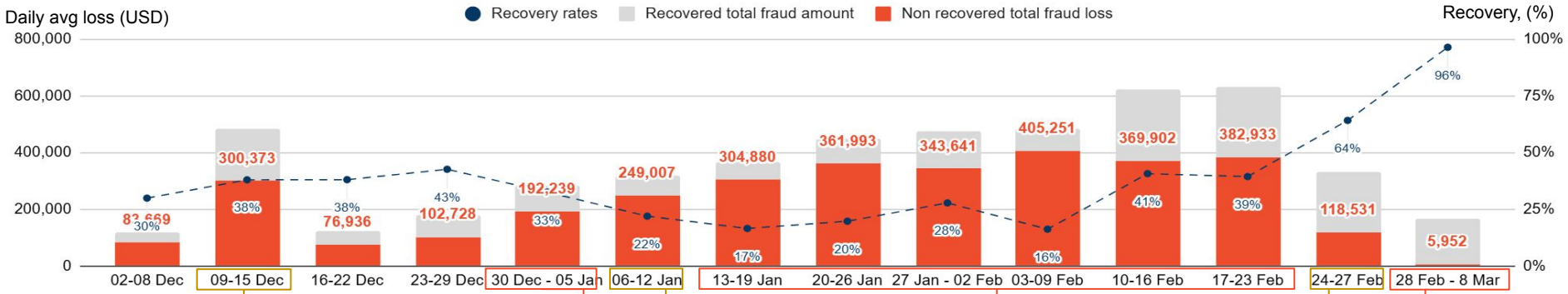
Escalation process | 3 levels of escalation process to inform 1) market with fraud risk; 2) other markets on potential similar risk; and 3) regional stakeholders

		Level 1				Level 2		Level 3	
		Need immediate action				*Some action needed (when similar risk applicable)*		*For visibility*	
Priority		**Security team**	**Reg fraud**	**Affected local fraud** (market that incur loss)	**Affected local Marketing/ FP&A**	**Other markets local fraud**	**Other local marketing/ FP&A**	**Reg marketing/ FP&A**	**Reg product**
P0+	**SLA**	Same day	Same day	Same day	Same day	1 day	1 day	1 day	1 day
	Action required	1. Propose rule logic 2. Revise logic based on feedback for accuracy	1. Review on rule logic when proposed, send to local fraud **2. Inform other stakeholders of the issue (other local fraud, reg mkt, reg FP&A)**	1. **Go live strategy at 50% and complete review by SLA** 2. Inform local FP&A and mkt	1. **Check voucher mechanism if expected** 2. Review campaign, assess to stop	1. Acknowledge risk and review cases by SLA 2. Inform local FP&A and mkt of risk	1. Check voucher mechanism for similar risk - If yes: Revise mechanism - If no: No action 2. For visibility on future campaign mechanism	**<u>For visibility</u>** 1. Revise mechanism for other markets that they intend to roll out campaign 2. Ensure for future mechanism set up to prevent risky set up	
P0	**SLA**	Same day	Same day	2 days	2 days	3 days	3 days	3 days	3 days
	Action required	Same action as P0							
P1		*Not required, impact is low*							
P2									

4. Fraud - Appendix: Updates on ID fraud loss

ID fraud trend | fraud losses increase started from Dec'24 and peaked at 405K in Feb'25; Risky voucher mechanism led to buyer-seller colluding to exploit benefits

More buyer-seller collusion behavior since end Dec'24, losses here included all recent detection/ strategies are back-filled to see full actual losses trend



31 Dec: Buyer-seller collusion observed

Found similar buyer group placed order within linked seller groups

14 Jan-20 Feb: More collusion strategies identified

Found more buyers/ sellers through 1) DS model and 2) similar buyer group placed order within linked seller groups

28 Feb: Lived escrow & order pending

For fraudulent sellers, pend order/ escrow to increase recovery

11-14 Dec: Youtube voucher MENGKOLYOUTUBESP

15% discount min spend 18 USD, cap at 60 USD discount

Voucher loophole

User can utilize voucher without needing to shop from youtube entry point

6 Jan: Smart voucher (added to BAU voucher)

6% discount min spend 30 USD, cap at up to 120 USD discount

Risky voucher mechanism

All sellers are eligible for this high cap voucher

24 Feb: Smart voucher (stopped on 24 Feb)

Risky voucher mechanism

Stopped on 24 Feb after ID reached out to Smart voucher team

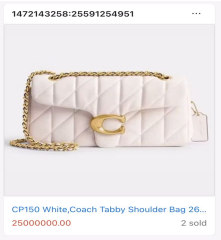
Anti-fraud

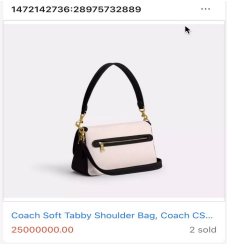
Marketing

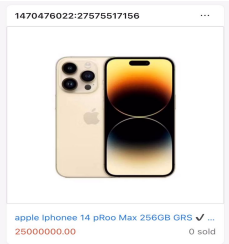
[Back-up] ID buyer-seller collusion case example: orders are fast picked up, and buyers confirm “order received” earlier than delivery time

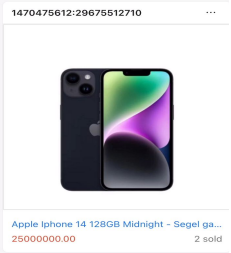
orderid	buyer_userid	seller_id	hashed_acct_no	l1_benf	gmv_usd	create_datetime	pay_time	pickup_time	complete_datetime	delivered_time	escrow_time
192725977251268	794657226	1471238561	1011163891	30.63	1501.77	2025-02-08 21:59:37	2025-02-08 22:06:30	2025-02-08 22:11:04	2025-02-09 2:14:03	2025-02-10 10:05:01	2025-02-09 2:14:04
192726502204910	1079739146	1471398241	1011163891	30.63	1501.87	2025-02-08 22:08:22	2025-02-08 22:10:37	2025-02-08 22:14:24	2025-02-09 2:30:27	2025-02-10 8:06:29	2025-02-09 2:30:28
192814793276379	507219756	1472039134	1011163891	30.63	1501.87	2025-02-09 22:39:54	2025-02-09 22:40:28	2025-02-09 22:42:23	2025-02-10 2:49:17	2025-02-11 14:09:59	2025-02-10 2:49:18
192814495241625	252450173	1472039134	1011163891	30.63	1502.14	2025-02-09 22:34:55	2025-02-09 22:35:44	2025-02-09 22:39:23	2025-02-10 2:49:12	2025-02-11 14:09:59	2025-02-10 2:49:14
192121805223275	1460080985	1465948976	1000211849	30.63	1501.81	2025-02-01 22:10:05	2025-02-01 22:21:02	2025-02-01 22:26:30	2025-02-02 2:43:48	2025-02-04 15:15:02	2025-02-02 2:43:50
192900626260830	1427026156	1472915550	1000211849	30.63	1501.64	2025-02-10 22:30:27	2025-02-10 22:31:55	2025-02-10 22:34:16	2025-02-11 2:57:06	2025-02-12 16:55:20	2025-02-11 2:57:07
192725539217435	1410471070	1471238561	1000211849	30.63	1501.53	2025-02-08 21:52:20	2025-02-08 21:53:45	2025-02-08 21:56:13	2025-02-09 2:13:58	2025-02-10 10:04:34	2025-02-09 2:13:58

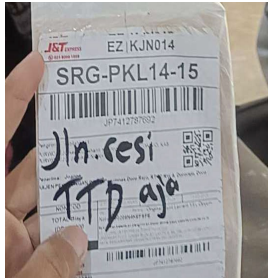
Seller randomly listed same high gmv items, mainly “Mobile Phones” and branded “Crossbody & Shoulder Bags”











Highlight for this group of fraudsters:

1. A few Payment hashed_acct_no **linked with 470 buyers, avg 1.8 orders per buyer**

2. **Use high-value vouchers**, 99.66% orders, voucher cap > $30

3. Time interval between **create time and pick up time is less than 5 minutes**

4. **Confirm time is earlier than the deliver time**

5. **POD is empty parcel,** and write “Just sign the check-in road” in the tag

ID risk mitigation | Short-term mitigations deployed for 1) voucher mechanism limited to OS/ SS; 2) Loss prevention by fraud rules; 3) Loss recover via order/ escrow pending

Defences type		Details	Status	Estimated Coverage
Voucher mechanism	1 Adjust seller eligibility	• Marketing team updated for Smart voucher to only allow OS/ SS	**Lived on 24 Feb**	-
Loss prevention	2 Order blocking	• Prevent reoffenders for buyer & seller • Block high risk buyer from using voucher • Block high risk seller from being able to use voucher	**Feb'25: Lived 21 logic** Jan'25: Lived 6 Dec'24: Lived 8	37%
	3 Order cancellation	• DS model flag buyers with similar behavior e.g. registration, purchase history, etc for order cancellation • Daily/ hourly strategies to be more real time cancellation		24%
	4 Reduce system gap	• Buyers able to click "order received" before item delivered • ID updated on 27 Feb to shift "order received" to appear after 24 hours from logistics pick up (currently is 4 hours)	**Lived on 27 Feb**	-
Loss recovery	5 Order pending	• Pend future orders with PV for 24 hours if seller hit fraud strategies >=1 in last 1 day, remove seller from list after 3 days	**Lived on 1 Mar**	5%
	6 Escrow pending	• Pend ongoing escrow for 3 days if seller hit fraud strategies >=1 in last 1 day, remove seller from list after 3 days • Fallback plan if 1-3 is being bypassed by fraudsters, escrow is pended and we can clawback from sellers	**Lived on 28 Feb**	88% (impact calculated separated from 1-3)
	7 Report to police	• Report fraudster to ID police to get back losses through police	**Not started**	-

[Back-up] Rolled out 34 strategies in total from Dec'24 to Feb'25: 8 lived in Dec, 6 lived in Jan, 20 lived in Feb (1/2)

1 2

Majority of the BSC losses was only found in Feb'25, 15 strategies shared to local for review in Feb'25, 9 in Jan'25 and 10 in Dec'24

- Red (local review >2 days, exceed SLA): $217K (17%) based on initial review impact, had a delay in local review
- The rest (within 2 days, current SLA): Remaining 83% of the initial loss impact, ID completed the review and go live within 2 days

**non MECE as strategies were raised on different dates*

#	strategy	strategy type	Initial review impact	Local review start date	local review complete date	local approved date	go live date
1	Reseller_FraudHistoryUser_PVCheckout_real_time	Order cancellation	$151,755	2025-02-28	2025-02-28	2025-02-28	2025-02-28
2	unusual_rcp_address_BSC_v1	Order cancellation	$16,000	2025-02-27	2025-02-28	2025-02-28	2025-02-28
3	BSC_linked_new_listing_sellers_buyer_orders	Order cancellation	$30,000	2025-02-26	2025-02-26	2025-02-26	2025-02-26
4	seller_early_completed_orders_under_shop_l7d	Order cancellation	$67,000	2025-02-24	2025-02-27	2025-02-27	2025-02-28
5	network_new_listing_high_pv	Order cancellation	$25,000	2025-02-21	2025-02-26	2025-02-27	2025-02-28
6	sus_bank_account_linked_orders_bsc	Ban seller	$23,500	2025-02-20	2025-02-24	2025-02-27	2025-02-28
7	Clustering_LinkedBuyers_DifferentSellers_BSC_v3	Order cancellation	$16,000	2025-02-20	2025-02-26	2025-02-27	2025-02-28
8	Clustering_LinkedBuyers_DifferentSellers_BSC_v1_hourly	Order cancellation	$13,000	2025-02-17	2025-02-19	2025-02-19	2025-02-19
9	Clustering_LinkedBuyers_DifferentSellers_BSC_v2_hourly	Order cancellation	$42,000	2025-02-17	2025-02-19	2025-02-19	2025-02-19
10	buyer_order_from_several_linked_sellers_bsc	Order cancellation	$28,000	2025-02-17	2025-02-18	2025-02-26	2025-02-26
11	Clustering_SameBuyers_DifferentSellers_BSC_v2_hourly	Order cancellation	$10,000	2025-02-12	2025-02-13	2025-02-13	2025-02-14
12	linked_new_listing_sellers_buyer_orders_BSC	Order cancellation	$30,000	2025-02-12	2025-02-14	2025-02-26	2025-02-26
13	HighBenf_LowPCSeller_LowADO	Order cancellation	$27,581	2025-02-11	2025-02-11	2025-02-14	2025-02-15
14	BuyerRiskModel_BenefitCheckout_v6_mt9995	Order blocking	$194,121	2025-02-06	2025-02-06	2025-02-06	2025-02-06
15	BuyerRiskModel_BenefitCheckout_v6_mt99754	Order blocking	$635,285	2025-02-06	2025-02-06	2025-02-06	2025-02-06
Total			**1,309,242**	-	-	-	-

[Back-up] Rolled out 34 strategies in total from Dec'24 to Feb'25: 8 lived in Dec, 6 lived in Jan, 20 lived in Feb (2/2)

#	strategy	strategy type	Initial review impact	Local review start date	local review complete date	local approved date	go live date
16	Clustering_LinkedBuyers_DifferentSellers_BSC_v2	Order cancellation	$7,695	2025-01-27	2025-01-31	2025-02-12	2025-02-14
17	bulk_registered_seller_aggregated_buyer_orders_BSC_v1	Order cancellation	$210	2025-01-27	2025-02-04	2025-02-14	2025-02-14
18	Clustering_LinkedBuyers_DifferentSellers_BSC_v1	Order cancellation	$238	2025-01-22	2025-01-28	2025-02-12	2025-02-14
19	Clustering_fsv_editaddr_samedistrict_pay_carrier_shop	Order cancellation	$794	2025-01-20	2025-01-24	2025-02-17	2025-02-22
20	Clustering_PVCheckout_MaxCap_SameState_L5d_RE_version	Order cancellation	$429	2025-01-17	2025-01-21	2025-01-24	2025-01-24
21	Clustering_Benefit_DS_FuzzyMatchRcpname_SameShopID_id	Order cancellation	$1,721	2025-01-14	2025-01-21	2025-02-26	2025-02-27
22	buyer_recipient_address_geohash8_aggregation	Order cancellation	$506	2025-01-09	2025-01-13	2025-01-20	2025-01-24
23	Clustering_BenefitCheckout_device_cc_ba_city_l2cat_RE	Order cancellation	$4,153	2025-01-03	2025-01-07	2025-01-07	2025-01-08
24	Clustering_same_phone_high_benf_live	Order cancellation	$2	2025-01-02	2025-01-06	2025-01-06	2025-01-07
25	Clustering_SameBuyers_DifferentSellers_BSC_v1	Order cancellation	$2,390	2024-12-31	2025-01-06	2025-01-06	2025-01-14
26	Clustering_same_phone_high_benf	Order cancellation	$5	2024-12-20	2024-12-24	2024-12-24	2024-12-25
27	Clustering_same_seller_order_parcel_confirm_early	Order cancellation	$3	2024-12-20	2025-01-15	2025-01-20	2025-01-22
28	clustering_pvcheckout_maxcap_samestate_l5d_hourly	Order cancellation	$561	2024-12-13	2024-12-13	2024-12-13	2024-12-13
29	Blacklist_PVCheckouts_BSC_HighBuyerFraudOrderRate	Order blocking	TBD	2024-12-11	2024-12-11	2024-12-11	2024-12-11
30	Clustering_PVCheckout_Buyer_MaxCap_SameDistrict	Order cancellation	$92	2024-12-10	2024-12-12	2024-12-12	2024-12-13
31	reseller_mobile_phone_lowactive_user_highbenf_clustering	Order cancellation	$305	2024-12-09	2024-12-11	2024-12-11	2024-12-11
32	BuyerRiskModel_BenefitCheckout_v4_mt98	Order blocking	TBD	2024-12-05	2024-12-06	2024-12-06	2024-12-06
33	Clustering_Benefit_DS_ExactMatchRcpAddress_SameShopID	Order cancellation	$109	2024-12-04	2024-12-11	2024-12-11	2024-12-11
34	Clustering_Benefit_DS_FuzzyMatchRcpAddress_SameShopID	Order cancellation	$3,941	2024-12-04	2024-12-11	2024-12-11	2024-12-11
Total			343,288	-	-	-	-

Next step to improve on: 1) fraud auditing mechanism; 2) Add Priority P0+ for fast defenses implementations; 3) work with marketing on fraud rate and new initiatives

Current gaps		Details	What to improve
Fraud strategy and escalation	A Late detect fraud orders	• Current delay **takes up to weeks** for detection, and in a result affected local team to make the right decision as losses numbers changed week by week	• **Review on current fraud auditing mechanisms, including** top-N screening, DS models, clustering logic customised to region • **Security infra team to add more HC/ resources** to do fraud intelligence/ fraud auditing
	B Not fast enough to roll out strategies	• **Delay in roll out** when local unable to come to conclusion that it is fraud, had back and forth discussion that resulted in overall delay	• Local/ Reg: **Add P0+ priority where review, and allow to directly grayscale roll out if meet criteria** and escalate to market head • **Add 2 levels of escalation process** to inform 1) other markets on potential risk, and 2) regional stakeholders, i.e. marketing, FP&A, product
Marketing mechanism	C Lack of communication with marketing	• Fraud noticed the increase in buyer-seller collusion cases starting late Dec, and solved it using anti-fraud strategies; **Marketing are not aware of fraud situations** • **Fraud team is unaware of new marketing initiatives**, example: smart voucher	• **Bi-weekly meeting cadence** with marketing team to share fraud rates and fraudulent vouchers/ promotions • **Monthly meeting cadence** on marketing upcoming initiatives, for fraud team to monitor the risk

5. User Experience: Seller Ops - Fake Review Update

Executive Summary

- S&R team has been detecting Order Brushing (OB) and applying traffic-level punishment, and Local Markets have been applying seller penalties and other treatment to these OB reviews. **Current OB detected generates 1.6M Fake Reviews (FR)** regionally in Jan 2025, impacting ~4.6% sellers and ~0.3% orders
- However, recently BSS team have discovered **additional FR** that are not part of the existing OB detection mechanism. In Jan 2025, the size is **1.3M additional FR**, impacting ~1.1% sellers and ~0.06% orders
- Since these FR are created with the intention to increase traffic, we believe they are conceptually the same as OB, and hence **should be treated the same way as existing OB cases**. This has been aligned with S&R and BSS team. **Combining existing OB and additional FR will make a total of ~3M FR (~0.8% of reviews)**
- [WIP] Reg Ops propose for these **additional FR to be treated the same as existing OB traffic-level punishment and other punishment, including seller penalties**. This will result in **additional 0.1% sellers penalized with 0.2% ADO impact**
- We will pilot the proposed treatment with VN first

FR Sizing | Regionally, ~3M FRs is identified in Jan'25, among which, ~1.3M FRs are not yet captured by existing OB rules, and we propose to be accepted as additional OB cases (1/2)

Fake reviews identified using existing OB rules and new FR rules (based on Jan 2025 data)

Market	FR captured using existing OB rules[1] [A]	Additional FR Detection Rule			Total # of Fake reviews *([D] = Union of [A], [B], [C])*	Total # of additional Fake Reviews / OB [E]	Total # of reviews on platform [F]	% of Fake reviews [D]/[F]	% of additional Fake reviews [E]/[F]
		Rule 1 - Abnormal Rate [B]	Rule 2 - Buyer Tag [C]	*Rule 3 - Content Similarity*					
REG	1,634,439	1,191,536	2,166,183	*Detection model under development by MMU[4]*	2,967,786	1 **1,333,347**	**379,097,419**	**0.78%**	**0.35%**
SG	4,755	4,193	3,512		10,911	6,156	36,427,015	0.26%	0.15%
MY	17,276	14,028	31,480		57,233	39,957	156,838,920	0.25%	0.18%
TH	79,244	53,221	74,660		160,244	81,000	40,552,061	0.46%	0.23%
TW	156,225	26,121	30,032		189,905	33,680	35,181,745	0.64%	0.11%
ID	393,128	490,351	916,865		882,875	489,747	22,791,944	0.56%	0.31%
VN	852,099	482,027	911,846		1,322,432	470,333	**29,899,438**	**3.63%**	**1.29%**
PH	125,906	82,888	197,706		299,616	173,710	4,122,814	0.74%	0.43%
BR	5,806	38,707	82		44,570	38,764	53,283,482	0.08%	0.07%

Key takeaways

1. In Jan 2025, ~3M FRs have been captured, which is ~0.8% out of all reviews. Among these, **~1.3M are FR cases that are not yet captured using existing OB rule, and we propose to be included OB cases**
- **The accuracy of Rule 1 and 2 in detecting fake reviews is 89%**

Footnote: 1) OB with reviews on order level is ~1.5mil per month, which is ~20% of total OB cases of ~8.1mil captured regionally

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FR Sizing | Regionally, ~0.3% of orders were captured as FR impacting 4.6% of sellers, however those detected by additional FR rules are not yet covered by OB and get penalized (2/2)

FR & OB impact on sellers, listing and order using existing OB rules and new FR rules *(based on Jan'25 data)*

Market	Captured using existing OB rules [A]			Additional FR Detection Rule [B]			Total [A] + [B]		
	% out of all active sellers [1]	% out of all active listings [2]	% out of all orders [3]	% out of all active sellers [1]	% out of all active listings [2]	% out of all orders [3]	% out of all active sellers [1]	% out of all active listings [2]	% out of all orders [3]
REG	**3.53%**	**0.05%**	**0.21%**	**1.09%**	**0.00%**	**0.06%**	**4.62%**	**0.05%**	**0.28%**
SG	0.19%	0.00%	0.06%	0.20%	0.00%	0.05%	0.39%	0.00%	0.11%
MY	2.20%	0.03%	0.12%	0.41%	0.00%	0.03%	2.60%	0.03%	0.15%
TH	2.68%	0.05%	0.26%	0.80%	0.00%	0.05%	3.48%	0.05%	0.31%
TW	1.63%	0.04%	0.74%	0.38%	0.00%	0.05%	2.01%	0.04%	0.80%
ID	3.17%	0.05%	0.19%	1.31%	0.01%	0.09%	4.47%	0.06%	0.28%
VN	14.04%	0.19%	0.34%	1.80%	0.00%	0.04%	15.84%	0.19%	0.39%
PH	4.21%	0.04%	0.19%	1.49%	0.00%	0.06%	5.70%	0.05%	0.25%
BR	0.16%	0.00%	0.00%	2.01%	0.01%	0.04%	2.17%	0.02%	0.04%

Key takeaways

1. In Jan 2025, 4.6% of sellers and ~0.3% of orders were captured as FRs. Among this, ~1.1% of sellers and 0.06% of orders captured by additional FR rules, which is not yet covered by existing OB rules and not penalized
- At steady state, the impact will be much lower, given repeated offences are ~10% for Order Brushing across markets

Footnote: 1) % active sellers = (# of sellers with 1 order caught for OB or FR) / (# of sellers with at least 1 order L90D & SC/App activity L30D); 2) % active listings = (# of listings with 1 order caught for OB or FR) / (listings that are live on the FE); 3) % orders = (# of orders caught for OB or FR) / (# of orders in Jan 2025); 4) All data is as of 31 Jan 2025

FR Sizing | Regionally, FR accounts for ~0.8% of platform reviews, significantly impacting UX; hence, there's a need to review the effectiveness of our treatment towards FR

Major types of low quality reviews in Shopee ecosystem

	Size *(% out of platform reviews)*	Definition	Ownership
1 **Fake Reviews**	**~2.9mil** (0.8%)	Reviews that are **false and misleading**, due to users are offered a reward / have financial interest to **provide positive reviews**	**Focus on this project**
Spam Reviews	**~1.5mil** (0.4%)	Spamming words/ emojis typically to **abuse our coin rewards system and** does not cover any of the three dimensions for review (product, seller service and logistics)	**Listing QC team**
Irrelevant Product Reviews	**TBC**	Reviews that are **irrelevant to the product** and **not helpful in guiding users** to make informed decision on the product	
Prohibited Reviews	**0.2mil** (0.06%)	Reviews containing **prohibited content** (e.g. adult content, abusive language/images, personal information that violates data privacy of users)	

1 Given the current landscape, reg seller ops will focus on Fake Reviews, which lacks attention regionally. Other low quality reviews are currently handled by listing team & will be kept unchanged

Definition of Rules | Existing OB rules are not able to capture some FR cases, and these cases should be categorized as OB as well

Definition and key criteria used in detection rules

Detection Rule	Status	Definition	Criteria
Order Brushing (OB) rule	**Existing**	• Based on OB detection criteria • All reviews under confirmed OB cases are fake reviews	• Existing OB detection algorithms
1 **[Rule 1] Abnormal Rate**	**Newly Added**	• Higher than normal impression to order rate • Higher than normal order to review rate	• L30D sold count <300 & review < 100 • Impression to order is >=10x[1] than platform avg. • Order to review >=2x[1] than platform avg. • Cluster size >= 3 (unique buyers)
[Rule 2] Buyer Tag		• Fraud related buyers tags • Tags in use are bot accounts or OB fraud tag	• Buyer has at least 1 out 2 tags, i.e., fraud_account, ob_user • Cluster size >= 3 (unique buyers)
[Rule 3] Content Similarity	**Under Development** *By MMU team*	• Check degree of similarity for text, image, video • Identify similar content, way of uploading etc.	• Under development

1. 10x & 2x were used based on historical data of reported fake reviews, where 10x was the P98 of impression to order & 2x was the P60 of the order to review ratio. We will continue to refine the rules with BSS team for higher accuracy

Key takeaways

1. Existing Order Brushing (OB) rules can capture some fake reviews, but not comprehensive, Hence, two additional rules can complement existing OB detection method
- Given all fake reviews are OB cases, newly added rules help to identify undetected OB cases through confirmation of fake reviews first

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Treatment | However, current treatment of OB / FR has gaps: (1) Detection of OB does not include additional FR and (2) Treatment/punishment is inconsistent across markets

		ID	VN	TH	PH	MY	SG	Reg Propose
Functional teams involved		Fraud & Listings			Fraud		Fraud & Listings	Fraud & Listings
Current detection & approach		1 Only from orders from existing Order Brushing detection						Add additional FR detection
Treatment / Punishments	**Traffic-level**	Search Deboost by S&R team						Search Deboost by S&R team
	Review-level	2 Delete review & sold count (cannot recover)	**No action**	Delete review & sold count (cannot recover)	**No action**	Delete review & sold count (cannot recover)	**No action**	Hide Reviews
	Listing-level	No action	Delete items if high fake sold count	Ban items if high fake sold count	No action			Remove sold count & rating
	User-level	Freeze buyers	Issue penalty points, Freeze sellers with severe offense	Issue penalty points to sellers		Issue penalty points, Freeze buyers with severe offense	Issue penalty points, Freeze sellers & buyers with severe offense	Issue penalty points, Freeze buyers with severe offense

Key Takeaways

1. Currently, markets only identify and take action on fake reviews from existing OB rules, which **may not capture all fake reviews**
2. **Treatment is inconsistent - VN, PH, SG do not even take action on fake reviews** currently when detected with Order Brushing

Treatment | Reg Ops propose to use existing OB treatments for newly identified FR case with some enhancements on Listing and Review-level treatments

Treatment	Existing OB Treatments	Additional from Reg Proposal
Traffic *[Daily]*	***Search Deboost by S&R team***	**To leverage existing OB treatment for newly identified FR cases**
Review *[Daily]*	***None***	

Category	Definition	Treatment
Caught from OB	Order is OB & review is FR	**Hide Reviews**
Caught from FR	Review is FR & order is OB	

Listing *[Daily]*

Category	Listings OB Sold Count Ratio	Action
Light-Medium	< 50% of listings sold count are OB	**Remove OB sold count**
Severe	>= 50% of listings sold count are OB	**Delete Listing**

+

Category	Definition	Treatment
Caught from FR	Review is FR & order is OB	**Remove sold count** **Remove rating**

Seller *[Weekly]*

Category *(repeated offence)*	Seller OB Sold Count per week	Treatment *(penalty points)*
Weak	**X <= 100**	**3**
Strong	**100 < X < 750**	**6**
Severe	**<= 750**	**9**

To leverage existing OB treatment for newly identified FR cases

Buyer *[Weekly]*

Category	Buyer OB Count	Treatment
OB Buyers	L30D OB Count > 0 Excl. TH, PH	**Freeze Account**

Treatment | By including additional FR for OB treatments, it might lead to ~0.2% additional ADO loss regionally with ~0.1% sellers impact in steady state

Impact sizing for ADO loss and seller impacted by additional FR for OB treatment

Penalty Tier	Penalty Point	ADO loss due to FR penalisation								
		REG	SG	MY	TH	TW	ID	VN	PH	BR
Tier 1	3-5	**-22.2K (-0.1%)**	-0.4K (-0.1%)	-2.1K (-0.1%)	-0.5K (0.0%)	-0.3K (0.0%)	-9.8K (-0.1%)	-3.2K (-0.1%)	-2.2K (-0.1%)	-3.5K (-0.1%)
Tier 2	6-8	**-13.1K (0.0%)**	-0.1K (0.0%)	-0.5K (0.0%)	-1.2K (0.0%)	-0.7K (-0.1%)	-2.3K (0.0%)	-4.7K (-0.1%)	-1.2K (0.0%)	-2.3K (-0.1%)
Tier 3	9-11	**-6.3K (0.0%)**	0.0K (0.0%)	-0.1K (0.0%)	-0.2K (0.0%)	-0.3K (0.0%)	-1.3K (0.0%)	-1.8K (-0.1%)	-1.1K (0.0%)	-1.2K (0.0%)
Tier 4	12-15	**-1.0K (0.0%)**	0.0K (0.0%)	0.0K (0.0%)	-0.1K (0.0%)	0.0K (0.0%)	-0.1K (0.0%)	-0.3K (0.0%)	-0.1K (0.0%)	-0.2K (0.0%)
Tier 5	>15	**-1.2K (0.0%)**	0.0K (0.0%)	-0.1K (0.0%)	-0.1K (0.0%)	0.0K (0.0%)	-0.6K (0.0%)	-0.2K (0.0%)	-0.1K (0.0%)	-0.1K (0.0%)
Projected Total Platform ADO Loss		**-43.6K (-0.2%)**	-0.5K (-0.2%)	-2.8K (-0.2%)	-2.2K (-0.1%)	-1.5K (-0.1%)	-14.2K (-0.1%)	-10.3K (-0.3%)	-4.8K (-0.1%)	-7.4K (-0.2%)
# of sellers increase in penalty tiers (% of active sellers)		**4.5K (0.1%)**	0.1K (0.0%)	0.2K (0.0%)	0.3K (0.1%)	0.2K (0.0%)	1.9K (0.1%)	0.9K (0.3%)	0.5K (0.2%)	0.5K (0.2%)

Methodology for impact sizing

- **Penalty Policy:** 3 points for <= **100** sold count, 6 points for > **100** & < **750** sold count, 9 points for >= **750** sold count, where sold count refers to OB orders' sold count + Fake Reviews orders' sold count
- **ADO Loss Projected from Historical Data:** Projected ADO decrease is based on (% ADO change of non-penalised sellers - % of ADO change of penalised sellers) * repeated offenders rate, to account for ADO decrease borne from sellers who continue to perform OB / FR
  - Repeat offenders rate = ~10% based on Q4'24 data

Next Steps | We propose to pilot with VN first; will work with S&R, BSS team and local market to roll out changes

Next steps	ETA
Align on the detection results that newly identified FRs to be OB cases	Ongoing
Enhance SOP and align with VN on the pilot plan	24 Mar
Review impact on new SOP for post-mortem implementation	Mid-Apr
Align with other markets and roll out standardized SOP & policy	TBC

6a. Product: ROI Process Update

Executive Summary

- In Feb 2025, ROX has introduced a new ROI Framework to better prioritize feature requests based on both expected returns & R&D investment cost
- To incorporate the new ROI Framework, the following key process changes will take place
  - Request Stage: Impact threshold for P1 have been reduced for selected criteria
  - Business Review Stage: Selected raised as P1 requests will go through early dev effort estimation, and get evaluated using the new ROI Framework; subject to max review cap by R&D
- All RX teams will start to pilot the new process for requests raised in April cycle

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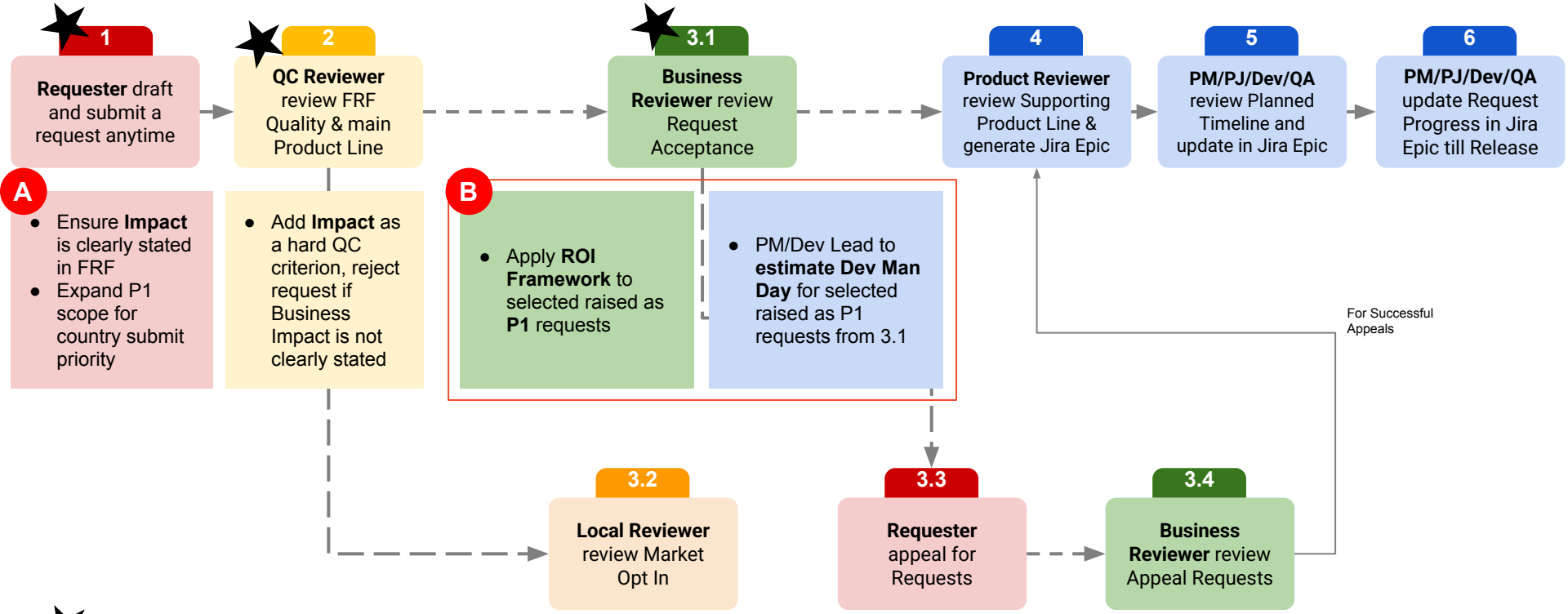
[Recap]RX teams have aligned with senior management, to pilot adding ROI focused approach into our current feature prioritization criteria

Assessment Approach	Type of Project	Description	Example of impact created
ROI Based	**Direct monetary Impact**	• Use Cost Benefit / Investment Cost to calculate ROI • Prioritise projects with higher ROI ***(minimally high enough to cover investment cost in 1 year)***	• Man hour savings • Revenue (GMV x PC2) uplift
	Indirect monetary impact *(UX related)*	• Link improvement in anchor UX metrics to monetary benefits *(using historical data correlation)* • Calculate ROI using monetary benefits identified and investment cost • Prioritise projects with higher ROI ***(minimally high enough to cover investment cost in 1 year)***	• Revenue uplift driven by increase in Agent CSAT*(assessed through historical data correlation)*
ROI not Applicable	**Non-monetary impact**	• Assess user/ topline coverage of the feature	• Seller UX improvement features • Mitigation of Legal or Reputational Risks

Key process changes will happen during 3.1 Business Review stage, whereby PM/Dev lead will be involved concurrently to estimate Dev Man Day required for ROI calculation

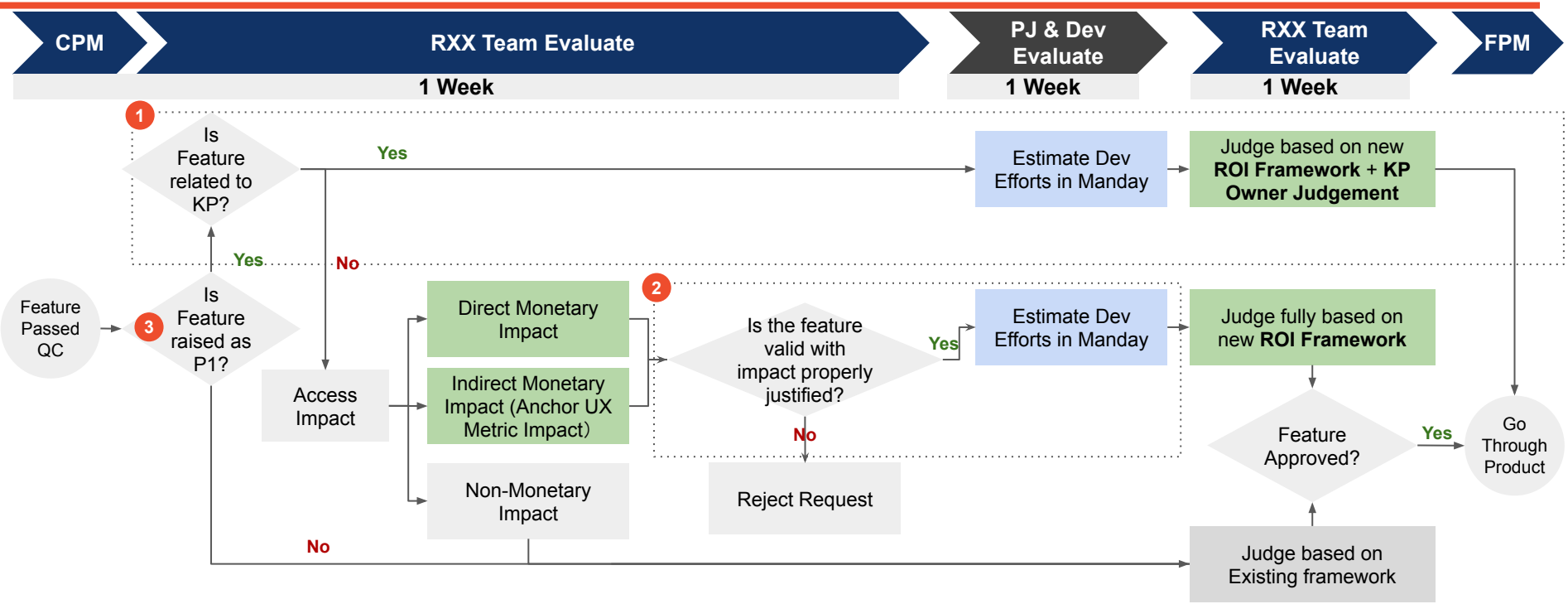


Process Changes

Country Submit Priority - Propose to stick with current prioritization framework with expanded P1 scope

Impact Threshold		Current P1 Criteria	To Be P1 Criteria
Revenue Generation / Cost Saving		• Revenue: Incremental yearly >$300K PC2 equivalent • Cost Savings: >$300K PC2 equivalent per year	• Revenue: Incremental yearly >$200K PC2 equivalent • Cost Savings: >$200K PC2 equivalent per year
Manpower Efficiency		• >$300K PC2 per year equivalent of manpower/headcount savings	• >$200K PC2 per year equivalent of manpower/headcount savings
Growth		• Incremental GMV >$7.8M per year	• Incremental GMV >$5.2M per year
Hygiene	User experience	• Data shows that significant number of users is affected • All other big competitor on the country have this feature • All/most markets opt in/ already available	**Lower threshold to cover high end of existing P2 criteria** Current + **Impact to Anchor UX Metrics** **Adding Anchor UX Metrics Impact can help to better justify as P1 under our new ROI Framework**
		For OPS pipeline only: • User Satisfaction: Uplift >0.5% regionally OR >1% market level • Resolution Quality: Uplift >1% RR win rate/ RR dispute rate/ CS re-open rate • Resolution Time: Uplift >1% regionally OR >5% market level	
	Technical Needs	• Blocker to any P1 request • Will cause system down/breakage	No Change
Risk Management	Legal Risk	• Cause violation to compliance/legal rules (incur legal consequence) • Bad reputation from government • No reasonable workaround available	
	Reputational Risk	• Caused hard complaint in national/international media • Caused hard complaint with >10K votes/engagement on social media	
	Monetary Risk	Prevent monetary loss >$300K PC2 equivalent per year	
	Data Security Risk	Prevent data leakage to all other big/direct competitor	
Business Partnership Commitment		Need to adhere to written formal agreements signed, OR relationship management with key and big partners	
Urgency		Negotiable deadline	

New Business Review Flow Proposal - To adopt ROI evaluation for P1 Feature Requests, which requires early dev effort estimation



1. For feature requests related to Key Projects, will be evaluated based on new **ROI Framework with additional judgement from KP Owner**
2. During pilot stage, to consider imposing a **Cap on max # of P1 feature requests** going through ROI evaluation to manage PM/Dev estimation efforts
3. Start will P1 feature requests during pilot stage, to explore if feasible to **expand to P2 in later phases**

New Business Review Flow Proposal - ROI Framework

Impact Threshold	P0	P1	P2	P3	Reject
Hard Deadline?	Yes	No	No	No	No
ROI Criteria	1. Annual Return > **$300K** AND 1-Year ROI >= **1** OR 2. Annual Return = **$100K-$300K** AND 1-Year ROI >= **3***	1. Annual Return > **$300K** AND 1-Year ROI >= **1** OR 2. Annual Return = **$100K-$300K** AND 1-Year ROI >= **3***	1. Annual Return = **$100K-$300K** AND 1-Year ROI >= **1** OR 2. Annual Return < **$100K** AND 1-Year ROI >= **3***	Annual Return < **$100K** AND 1-Year ROI >= **1**	1-Year ROI < 1
Rationale	Requests that meet P1 criteria and with hard deadline critical to business	1. High absolute return and 1-Year break even 2. Mid absolute return but very high ROI	1. Mid absolute return and 1-Year break even 2. Low absolute return but very high ROI	Low absolute return and 1-Year break even	-
R&D Commitment	To deliver per Hard Deadline	To provide timeline	No commitment (might do if have extra capacity)	No commitment	-

* Preliminary number, might be revised based on Pilot Run results

High Level Implementation Plan

Key Task	PIC	Q1 2025			Q2 2025			Q3 Onwards		
		Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep
ROI Framework Set Up & High Level Alignment	ROX	Done								
Anchor UX Metric Collection	ROX	Done								
Correlation Study & Monetary Value Mapping for Anchor UX Metrics	BI		In Progress							
Alignment on Monthly Feature Request Process Change with new ROI Framework	ROX		Done							
R&D Process Set Up and Evaluation Cap Alignment	R&D		In Progress							
Communication Plan to Local Markets	ROX & CPM			In Progress						
New Feature Request Process Pilot Run (With Cap Imposed)*	RX & CPM				To Start					
New Feature Request Process Full Run	RX & CPM							To Start		

* 1st Cycle: April for request submission and in May, new ROI review framework will take effect for April requests

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[Appendix]Anchor UX Metrics - ROX

LOB	Sub-team	Anchor UX Metric	Definition
ROX	CS	Agent CSAT	% of contacts (Call, Email, Webform, Chat, In-app Case Tracker, CCS) customer gave good rating to agents
ROX	CS	Chatbot CSAT	% of contacts (Overall Chatbot Session) customer gave good rating to Chatbot
ROX	CS	Agent E2E	End to end time to solve a case, from the first contact until it is resolved
ROX	CS	Shop Chatbot CSAT - Internal Shops	% of contacts (Overall Chatbot Session) customer gave good rating to Shop Chatbot - Internal Shops
ROX	CS	Shop Chatbot CSAT - External Shops	% of contacts (Overall Chatbot Session) customer gave good rating to Shop Chatbot - External Shops
ROX	RR	RR CSAT	% of buyers giving 4 & 5 rating (weighted average of agent and non-agent RR)
ROX	RR	RR E2E time	Time taken from RR create to end date
ROX	RR	Buyer Win Rate	% of all RRs won by buyer
ROX	Listing	Low Rating Items[1]	% of items that have more than 5% 1 or 2 star ratings

[1] Under review, potentially to align definition with RBX UX Metric - 1 Star Rating

[Appendix]Anchor UX Metrics - RBX/RSX/RAX

LOB	Sub-team	Anchor UX Metric	Definition
RBX/RSX	Applicable to all	NPS	Measures customer loyalty by looking at their likelihood of recommending a business
RBX	Listing Review	1 Star Rating[1]	Measures buyer satisfaction about their item and/or shopping experience against overall buyer -> # of 1 star rating / # all rating given
RBX	Order Processing	Payment Fulfillment %	Measures payment completion rate
RBX	Applicable to all	Key Page Loading time	Measures loading page of key pages for users like Homepage, SRP, PDP, Cart, OPC etc to ensure latency of user in-app experience is optimal
RBX	Applicable to all	CTR*CR	Measures the order/impression ratio
RBX	Applicable to all	Order G2N	Measures gross to net ratio of order
RBX	Applicable to all	GMV G2N	Measures gross to net ratio of GMV
RBX	Order Conversion/Promo Mechanics	Checkout Abandonment Rate	Measures user checkout experience
RAX	Seller/Affil/MCN	NPS or Survey score	Measures customer loyalty by looking at their likelihood of recommending a business
RAX	Seller/Affil/MCN	Key Page Loading time	Measures loading page of key pages for users like Affil Homepage, Seller AMS, MCN Campaign, etc.
RAX	Seller/Affil/MCN	PV & Click Through Rate (CTR)	Measure user experience in their willingness to check offerings in affil main pages (HP, campaigns, free sample, CMP, analytics)
RAX	Affiliate	AMS Take Up Rate	Measure affil experience in discovering suitable AMS product for them to share

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6b. Product: BPO Consolidation Product Update

BPO Consolidation scope is expanded beyond MP Ops BPO Agents, to cover Shop Chat CS Agents and potentially Taggers

#	BPO Consolidation Scope	# of HC to Migrate[1]	Confirmed Migration Pair	High Level ETA
1	MP Ops BPO Agents: CS/RR/Listing QC/Content QC agents	651	MY -> ID BR -> ID TW -> ID	Apr 2025 onwards
2	Shop Chat CS Agents	383	Local SCS/SBS Other SIP[2]	2026 onwards
3	*Product Agents*	*TBD*	*TBD*	*TBD*

[1]Estimated HC to migrate which are dependent on translation tool
[2]SG&MY SIP will start trial in ID in 2025 using English agents, no translation tool required

Today's Focus

1 MY-ID CS Chat Agent Migration and BR-ID RR Agent Migration are on track to start Ops pilot in April

Migration Region	Function	Product Status	Ops Pilot ETA	# of HC Migration	Annual Cost Saving (USD)
MY - ID	CS - Melayu Chat Agents	Target to **go-live** on 20 Mar	**Apr**	**80**	**$554k**

Migration Region	Function	Product Status	Ops Pilot ETA	# of HC Migration	Annual Cost Saving (USD)
BR - ID	RR Dispute & QA	Target to **go-live** on 18 Mar	**Apr**	**80**	**$999K**
BR - ID	CS - Webform & Case Tracker	PRD completed, 1st cycle testing completed	**May**	**125**	**$1.6M**
BR - ID	Content - TnS QC Agent	FRF completed, working on audio-text training data collection	**June (Tentative)**	**65**	**$812K**
BR - ID	Listing QC	FRF completed, to start 1st cycle testing	**June (Tentative)**	**26**	**$325K**

1 TW-ID is planned next, aiming to start Ops Pilot for CS & RR in Q3

Migration Region	Function	Product Status	Ops Pilot ETA	# of HC Migration	Annual Cost Saving (USD)
TW - ID	CS - Chinese Chat Agents	Discussed translation scope with TW local team, preparing FRF.	**Q3**	**133**	**$3.6M**
TW - ID	RR - Chinese Dispute Agents	Discussed translation scope with TW local team, preparing FRF.	**Q3**	**52**	**$1.3M**
TW - ID	*Content - TnS QC Agent*	*TBC*	*TBC*	*90*	*TBC*
TW - ID	*Listing QC*	*TBC*	*TBC*		*TBC*

1 To sustain service quality, ROX has established a framework to measure & assess the Translation Tool capability

	Stage of the Project	Validation Method of the Language Model	Target
A	Product Developing	**Tagging Score:** Tagging based on actual samples (chat transcript, email, etc.) and scoring on the language quality.	Shopee Translation Score >= Google Translation Score And Shopee Translation Score >= 3.0
	Product UAT		
B	Pilot Run and Live Testing	**Quality:** **[CS]Bad CSAT Tagging to Determine Error Rate:** ● % Bad CSAT cases QAed due to poor translation **[RR]Wrong Judgement Tagging to Determine Error Rate:** ● % of Wrong Judgment cases QAed due to poor understanding caused by translation issues **Stability:** **Translation success rate:** ● % of system could successfully translate the content.	[CS]% Bad CSAT cases QAed due to poor translation <= 5-10% (Market specific) [RR]% Wrong Judgement cases QAed due to poor translation <= 5-10% (Market specific) Translation Success Rate: > 99.9%. Where there is no test case that experiences a complete-failure in translation
	Ramping Up		
	After Migration		

*ROX proposal, to be aligned with local ops during the pilot run with each market.

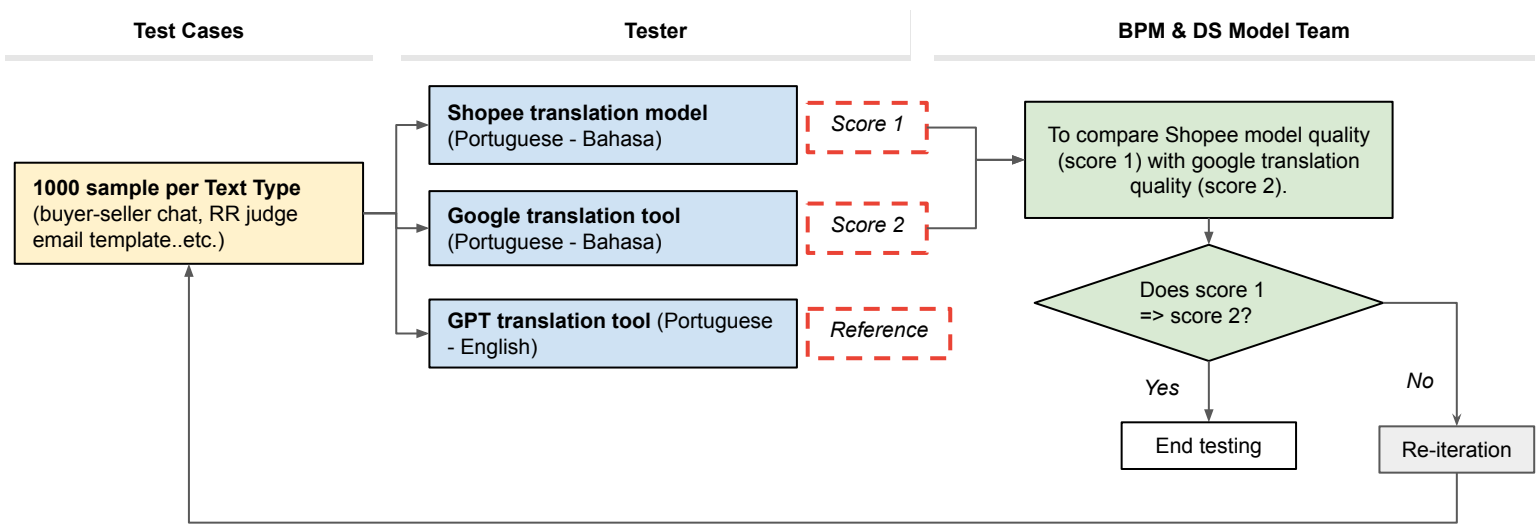
[Translation Model Tagging Framework] Blind test were conducted by local taggers to compare translation model performance between Shopee and Google

Local taggers scored translated results from both Shopee and Google translation models for comparison.

Target

Shopee Translation Score >= Google Translation Score; Shopee Translation Score >= 3.0

Tagging Flow



Scoring Criteria

[1]: not translated / deliver a wrong message / show signs of tool usage
[2]: the idea is still there, but the order of words was messy and hard to understand
[3]: correct translation but poor words choice / minor typos or misspellings which don't affect the main idea.
[4]: correct and suitable words choice + good format + no typos or misspelling.

[Translation Model Tagging Results] For functions piloting in April, tagging results have all met the go live standard

MY - ID Malayu Chat Language Model Performance

Direction	Model	Language Tagging Quality Score (Out of 4)
ID-MS	Shopee Model	**3.45**
	Google Translation	**3.23**
MS-ID	Shopee Model	**3.11**
	Google Translation	**3.11**

The language model requires bidirectional translation between Malay and Bahasa for direct customer interactions. Both were assessed

BR - ID RR Language Model Performance

Direction	Model	Language Tagging Quality Score (Out of 4)
BR - ID	Shopee Model	**3.12**
	Google Translation	**3.11**

Language model only required for Portuguese to Bahasa as the RR judging agent will not talk directly with the customers.

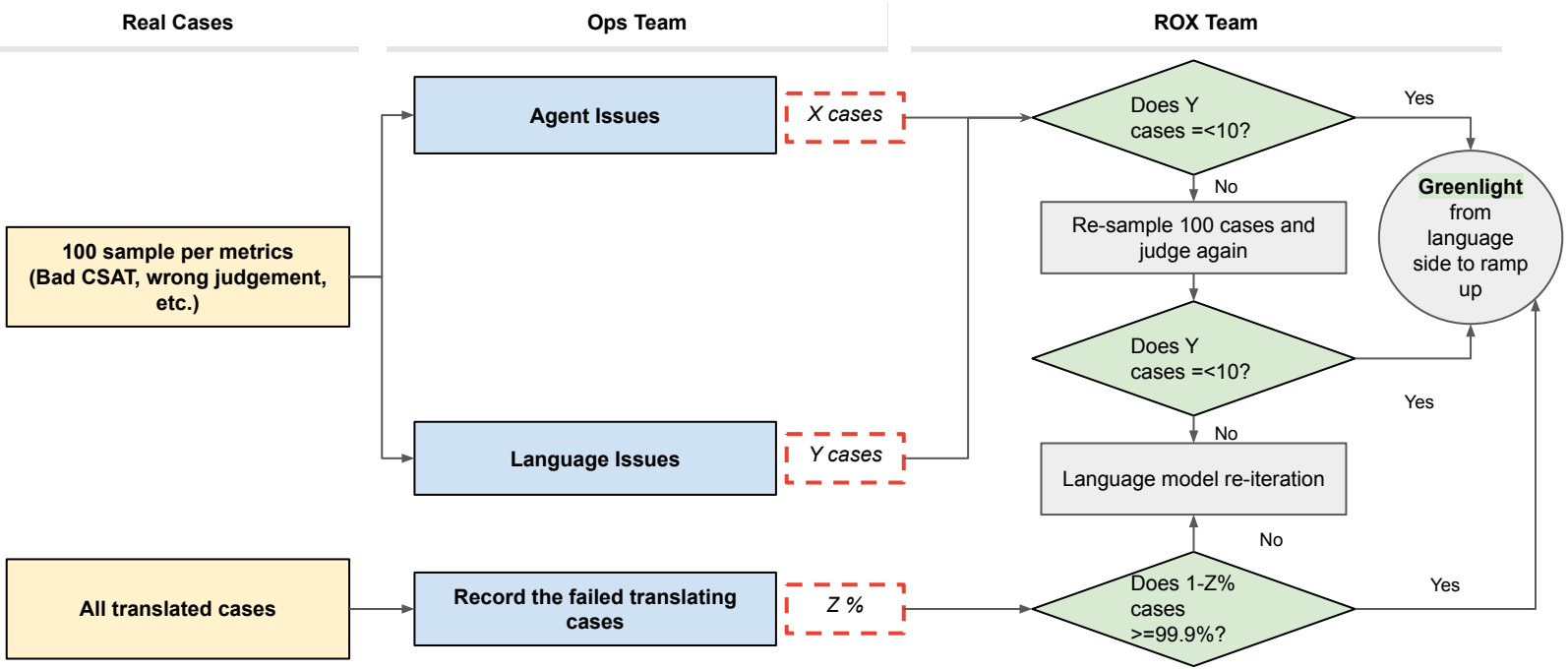
B [Pilot Run QA Framework] QA to be conducted during pilot run to assess % Bad CSAT/Wrong Judgement cases due to poor translation & translation success rate

Sampling the cases from pilot run and identify the bad cases due to the translation missing.

Target

- % Bad CSAT/Wrong Judgement cases QAed due to poor translation <= 5-10%*
- Translation success rate should be >= 99.9%.

Checking Flow



*ROX proposal, to be aligned with local ops during the pilot run with each market.